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THE ROLE OF CONSUMER GOODS IN THEMATIC INVESTMENT FUNDS: ANALYSIS OF THE FUND 'INVESCO GLOBAL CONSUMER TRENDS'

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1 INTRODUCTION

1.1 INTERNSHIP

During this academic year, I had the opportunity to undertake a eight-month internship at Lanzoni Marzio, an expert Senior Private Banker at Fineco Bank for over twelve years, managing more than five hundred clients and over one hundred thousand euros in assets. Furthermore, from 1987 to 2012, he was a fund manager at Arca Fondi SGR, where he created and managed the first Global Balanced Investment Fund issued in Italy, the ARCA T.E. fund in 1989. Finally, in his first nine years of career, he worked first as a Sales, and among all his clients, the most significant was Peter Lynch, who later became one of the world's foremost fund managers, overseeing the Fidelity Magellan Fund; and later as a Market Maker USD Supranational Bonds, both at Banca Commerciale Italiana.

Through the internship, I was able to learn about the pre- and post-investment activities of a financial advisor, how to conduct microeconomic and macroeconomic analyses, how to analyze financial markets, how to use financial instruments, and how to analyze and construct a portfolio.

Additionally, Mr. Lanzoni imparted ethical lessons regarding this profession, emphasizing that clients belong to the advisor and not to the bank, thus avoiding recommending funds or instruments to benefit the bank. He stressed the importance of earning from the bank through the assets under management rather than from clients, minimizing consultancy fees and commissions. This approach leads to satisfied clients recommending the advisor to their contacts, thereby increasing the managed assets.

1.2 CONSUMER GOODS IN INVESTMENTS

In the contemporary economic context, consumer goods play a crucial role, not only for their impact on people's daily lives but also for their significant influence on financial markets. These goods, which include everyday products such as food, clothing, automobiles, and technological devices, represent a dynamic and ever-evolving sector that attracts the attention of both consumers and investors.

Thematic investments have emerged as an innovative and strategic approach to portfolio management. This type of investment focuses on specific long-term trends that can have a significant impact on the global economy. Thematic investment funds allow capital allocation

in sectors that promise future growth, such as technological innovation, demographic changes, and new consumer behavior trends.

In this thesis, I aim to explore the role of consumer goods within thematic investment funds, specifically analyzing the 'Invesco Global Consumer Trends' fund. The work will be divided into several sections. I will begin with an introduction to thematic investments, defining key concepts and tracing their historical evolution. Subsequently, I will examine the performance and volatility of the main global trends identified by Morningstar: technology, physical world, and society.

The second part of the thesis will be dedicated to analyzing the main sectors of consumer goods. Through a detailed study of seven key categories, I will analyze specific companies within each category to better understand the role of each consumer good and its market impact. This section will also reflect some of the analyses and experiences I gained during my internship at Fineco Bank.

Through Mr. Lanzoni, I was able to establish contact with the Italian branch of Invesco Ltd., one of the leading global investment management firms. This entity provided me with a list of top 10 companies, along with their respective weights in the portfolio, in which the fund has invested every three months from 2020 to the present. Utilizing this dataset, I conducted an analysis to elucidate the factors contributing to the fund's outperformance or underperformance relative to its benchmark.

On May 29th, I was invited to a presentation of the fund held by Greg Holland, the Senior Client Portfolio Manager of the fund. The presentation focused on the impact of AI on consumer goods and the implications for the fund. This opportunity allowed me to meet face-to-face with several prominent financial advisors in Milan (as it was an invitation-only event, there were no more than 15 attendees). They asked some very insightful questions about the fund. I also had the opportunity to listen to a fund analysis by one of the portfolio managers and to send him my work.

Through in-depth analysis and specific case studies, I intend to provide a comprehensive understanding of the potential and challenges associated with investing in consumer goods through thematic funds, offering investors the tools and knowledge to make informed and conscious decisions.

2 THEMATIC INVESTMENT FUNDS

2.1 INTRODUCTION

2.1.1 Definition

Let me begin by examining the concept of thematic funds. These funds adopt security selection strategies based on exposure to specific investment themes, which can encompass macroeconomic or structural trends. The primary objective is to provide investors with the opportunity to benefit from long-term growth trends. For example, they may focus on demographic shifts or technological innovations. A thematic fund might invest in sectors such as Millennials or water resources, whereas one that does not consider sustainability would not.

The distinction between thematic and sector funds can be subtle, especially in the technology industry. However, according to Morningstar experts, for a strategy to be considered thematic, it must focus on specific trends, such as the adoption of new hi-tech technologies.

The definition of what constitutes a theme can evolve over time. For instance, at its launch in 2009, the Pictet Agriculture fund primarily addressed the growing food needs of an increasing global population. However, with technological advancements contributing to increased global food production and a decrease in the urgency of food scarcity, the Pictet fund adapted its strategy to a broader "nutrition" theme. Currently, the fund also targets companies it considers essential for improving nutritional profiles and increasing efficiency within the food value chain.

Similarly, some funds began their existence as thematic funds but expanded their mandate over time. For example, the American Funds The New Economy Fund ANEFX, launched in 1983, initially aimed to capitalize on the transition from a production-based economy to one based on services and information companies. However, over the years, the fund has broadened its scope and now more closely resembles a traditional growth fund. Therefore, at present, this fund falls outside our framework for classifying thematic funds.

Thematic funds are not easily classifiable, but Morningstar has identified four broad categories: technology, physical sector, social, and broader themes. *(Figure 1)*

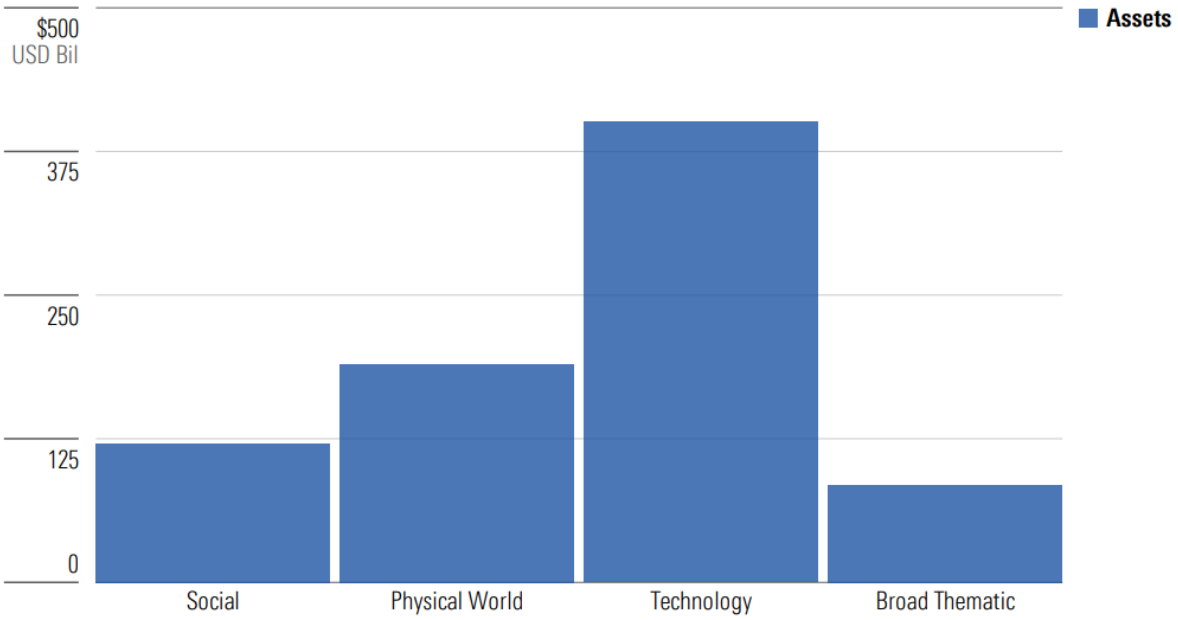


Figure 1- Global Thematic AUM by Broad Theme (Source: Morningstar, 31 December 2021)

Technology-related themes focus on the revolutionary growth potential derived from technological changes. These include sectors such as fintech, robotics, automation, and battery technology.

Physical sector themes concern the management of material resources. This group includes funds that promote the transition to a low-carbon economy, such as alternative energy funds.

Social themes address structural changes in society. These may be related to political issues, consumer trends, or demographic changes.

Finally, there are funds that track multiple themes belonging to any of the above groups, which are grouped under the broad thematic umbrella.

The surge in popularity of thematic funds was evident during the Covid-19 pandemic in 2020, with an influx of capital and increased returns. These investment instruments aim to capitalize on a wide range of long-term growth themes, from energy transition to connectivity, from artificial intelligence to revolutionary healthcare technologies. Since March 2020, global thematic fund assets have tripled, partly driven by the growing interest of retail investors seeking new opportunities while working remotely. However, this increase in investments should also prompt reflection on the idea of trend chasing, a common phenomenon in advanced stages of bull markets.

Meanwhile, high-profile asset management companies have further fueled this demand by proposing innovative approaches, seeking to offer investors new ways to capitalize on long-term trends. Often, newly opened funds quickly attract significant investment flows. Popular themes often include sectors with promising futures, such as cloud computing, disruptive innovation, robotics, cybersecurity, renewable energy, genomics, and blockchain.

Since thematic funds represent a substantially different approach from a traditionally diversified portfolio, they may be complementary rather than substitutive to existing core positions. Indeed, specific exposures reflecting an opinion on a particular theme may be considered a replacement for a single security within the portfolio.

Despite the enthusiasm generated around thematic funds, it is essential to maintain the right perspective. Historically, these funds have often underperformed their respective benchmarks over the long term, primarily due to the concentrated nature of their strategies, which tends to increase return volatility. Consequently, investors must exercise caution and be aware of the risks associated with this type of investment.

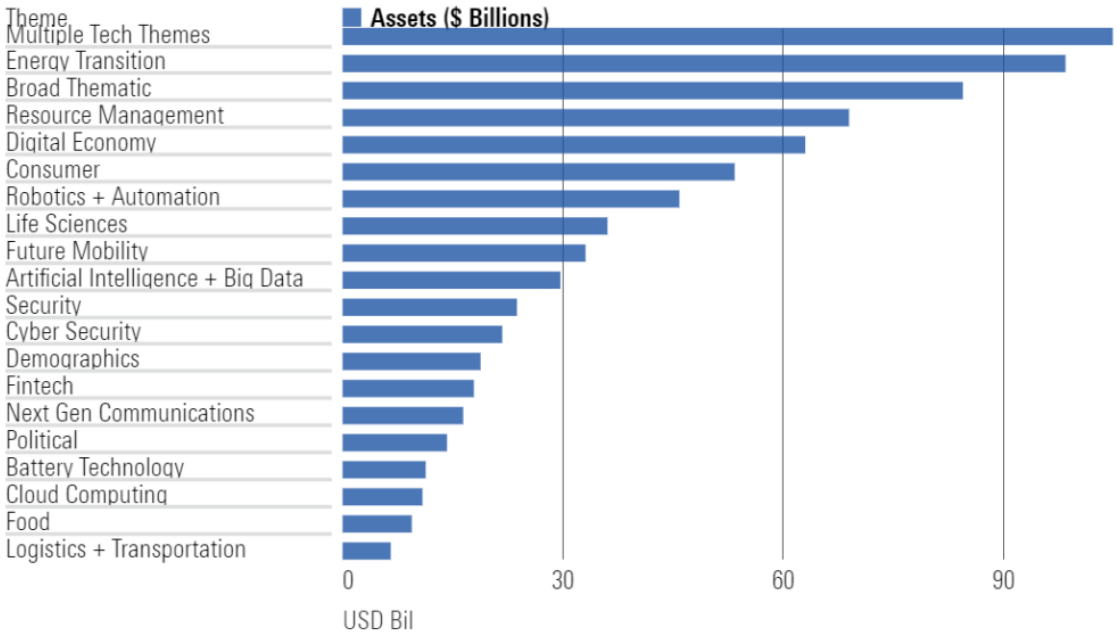


Figure 2- Global Thematic AUM by Theme (USD Billion) (Source: Morningstar, 31 December 2021)

2.1.2 History

The history of thematic funds can be traced back to the end of World War II. In 1948, the Chicago-based Television Shares Management Corp. introduced the Television Fund to capitalize on the rapidly growing television industry, at a time when the United States had approximately 1 million televisions and color television was on the horizon. Subsequently, in 1950, the Television Fund transformed into the Television-Electronics Fund, signaling an expansion of its investment scope. This adaptation of fund investment strategies to evolving themes has become a hallmark of thematic funds over the years. In 1970, Kemper acquired the fund and renamed it Kemper Technology, further broadening its mandate. This marked a significant deviation from the original thematic focus, a fate shared by many subsequent thematic funds.

The concept of growth investing gained traction in the 1950s, with the launch of the Growth Stock mutual fund by T. Rowe Price in 1950. Around the same time, the late Sir John Templeton founded Growth Companies Inc., precursor to Templeton Growth, launched in 1954. Additionally, investor Phillip Fisher published the first edition of "Common Stocks and Uncommon Profits" in 1958, a seminal text for growth investors.

In the 1950s, several thematic funds focused on technology were launched, including the Atomic Development Mutual Fund, the Science and Nuclear Fund, among others. In the 1960s, new futuristic thematic funds were introduced, such as the Steadman Oceanographic Fund, which invested in companies designing and exploiting underwater communities. However, many of these funds experienced limited success.

One of the earliest thematic funds to survive to the present day is the Fidelity New Millennium, launched in 1992. This fund, which now manages over $2.6 billion in assets, aims to achieve superior returns by identifying early signs of long-term market changes.

In the 1990s, many new thematic funds targeted non-technological themes, such as population aging. However, many of these funds struggled to raise capital, and some closed. In 1995, the first internet-themed fund, the Daiwa U.S. Internet Open, was launched by a Japanese asset management company. However, after the dot-com bubble burst, many of these funds closed.

Between 2000 and 2010, the number of themes addressed by thematic funds increased from 14 to 25, including new themes such as fintech and robotics. However, despite the growth in the

number of thematic funds, assets remained relatively low compared to the global equity fund market.

ETFs have become an increasingly popular vehicle for indexing and trading, with a notable increase in the number of thematic ETFs. An example is the ARK Innovation ETF, an actively managed thematic fund that achieved significant returns, but whose recent performance has decreased.

In recent years, the thematic fund market has grown rapidly, with an increasing number of funds introduced to the market. However, many of these funds have struggled to maintain long-term performance, leading to a decrease in capital flows into thematic funds. *(Figure 3)*

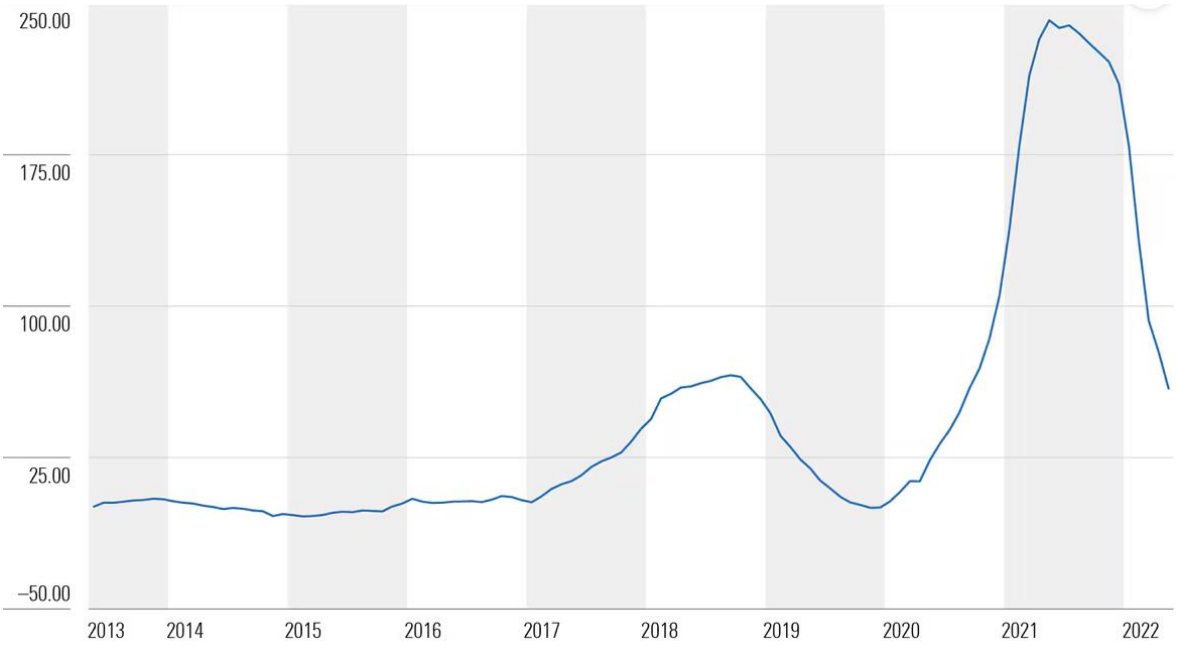


Figure 3- Performance pattern of global thematic funds (Source: Morningstar, April 2022)

2.1.3 The evolution of the global thematic investment landscape

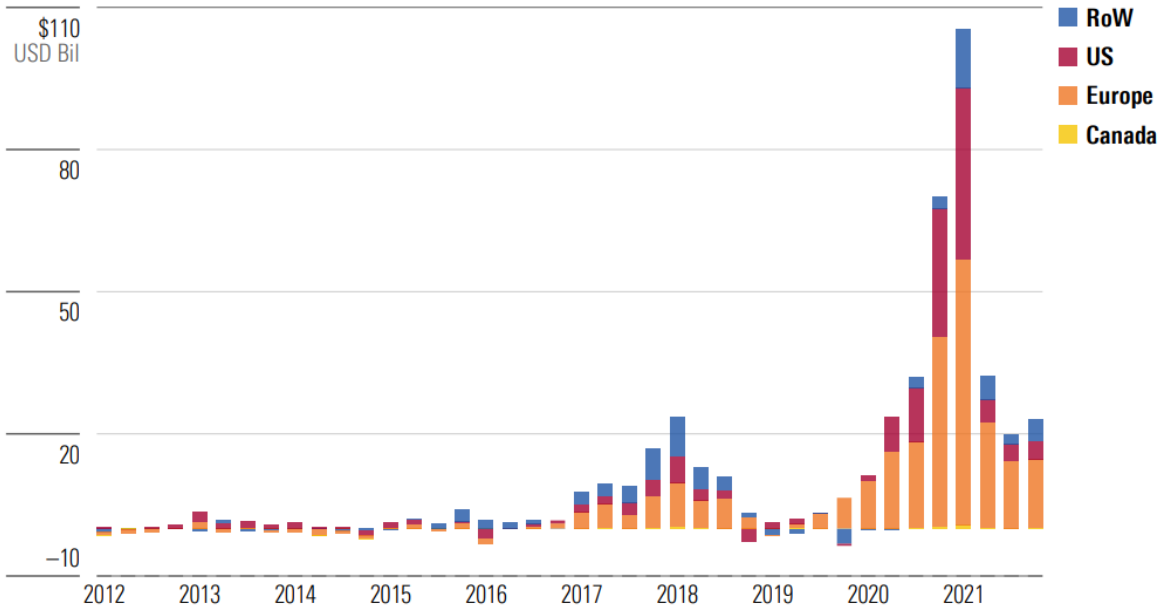


Figure 4- Global Net Asset Flows by Region (no China) (USD Billion) (Source: Morningstar, 31 December 2021)

2.1.3.1 United States

Following an eventful 2020, assets in U.S. thematic funds found stability in 2021 despite a record number of new launches. By mid-2021, the total assets under management had surpassed $180 billion, yet inflows had already begun to decelerate. Throughout 2020, assets in U.S. thematic funds experienced significant growth, reaching their peak in the first quarter of 2021 at around $36 billion. In the last three quarters of 2021, net inflows were consistently less than $5 billion. By the end of 2021, U.S.-domiciled thematic funds collectively held a total of $165 billion.

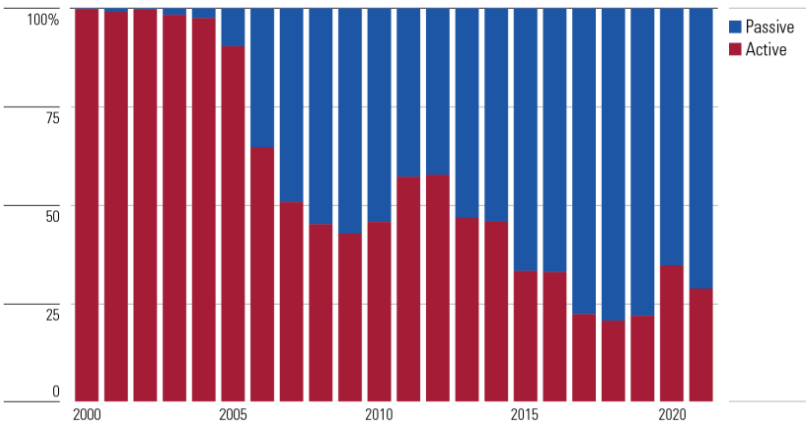


Figure 5- Passive Market Share of U.S. Thematic Funds (Source: Morningstar, 31 December 2021)

In December 2021, passive funds controlled approximately 71% of assets in U.S.-domiciled thematic funds. *Figure 5* illustrates that the surge to current levels occurred abruptly in the early 2000s. Within just two years, from 2005 to 2007, assets in passively managed thematic funds surged from a mere $200 million to an impressive $6 billion. This surge was propelled by a series of new launches from Invesco that quickly amassed assets, including notable ones such as the Invesco WilderHill Clean Energy ETF (PBW) and Invesco Water Resources ETF (PHO). This period coincided with a phase of outflows from actively managed strategies, notably observed in Fidelity New Millennium after a management change. Although active strategies regained some market share between 2010 and 2012, they were unable to keep pace with the rapid growth of assets in indexed strategies.

Historically, thematic fund launches tend to follow cyclical patterns. New strategies are often introduced during periods of strong performance, such as the new millennium and the early 2000s, yet they tend to decline during downturns These patterns suggest that investor interest in these strategies and the willingness of providers to offer them generally align with overall market movements. The substantial number of new thematic funds introduced in recent years further underscores this connection. The latter half of 2020 saw nearly as many new thematic funds launches as the entire year of 2019, and 2021 marked another record year with 90 new launches. Nearly half of these new launches entered the market in the fourth quarter of 2021.

Overall, the landscape of U.S. thematic funds is still dominated by a few very large funds. The top 10 funds accounted for almost 44% of all U.S. thematic fund assets as of December 31, 2021. At the end of 2021, ARKK remained the largest U.S. thematic fund, maintaining a considerable lead over its closest competitor. However, ARKK experienced a decline throughout 2021 due to a combination of disappointing performance and investor withdrawals. Although the fund recorded net inflows for the entire year, it suffered significant outflows in the second half of 2021. All three ARK funds that were in the top 10 list in 2020 witnessed a reduction in their assets in 2021.

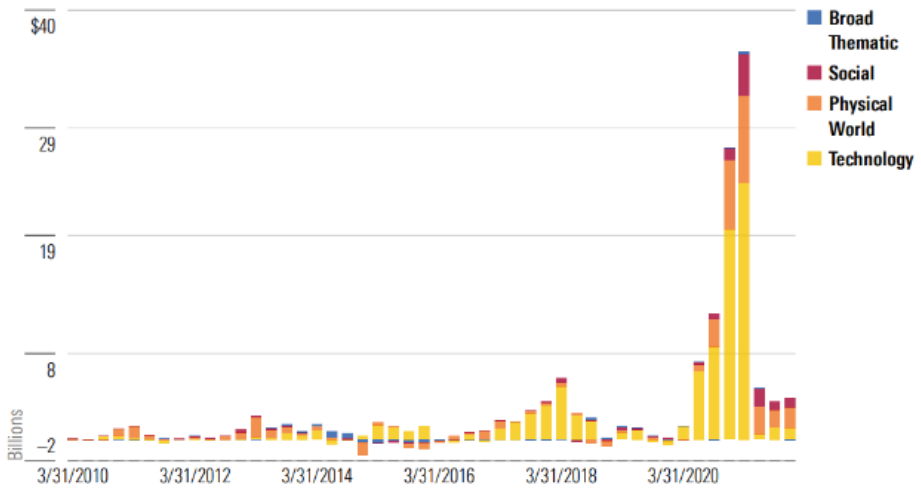


Figure 6- U.S. Thematic Flows by Broad Theme (USD Billion) (Source: Morningstar, 31 December 2021)

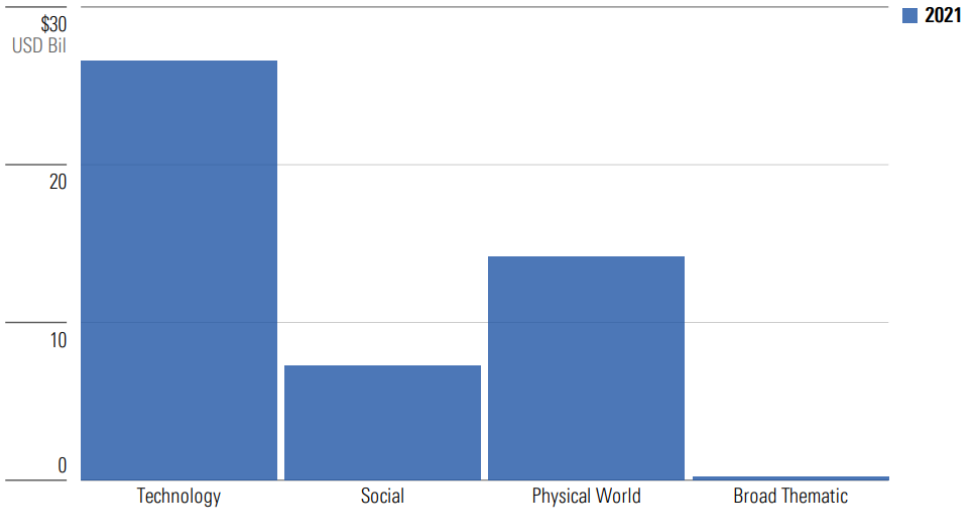


Figure 7- U.S. Thematic Net Flows by Broad Theme 2021 (USD Billion) (Source: Morningstar, 31 December 2021)

Tech-oriented thematic funds continue to constitute the largest U.S. cohort by a significant margin despite a decrease in their assets in 2021 *(Figures 6-7)*. At year-end, these funds accounted for approximately 64% of U.S. thematic assets. Assets in other broad themes saw growth in 2021. For instance, the physical world segment added over $6 billion in assets in 2021, with the majority coming from resource management funds. However, funds with multiple technology themes, like ARKK, hold the majority of assets. The preference of these funds for disruptive technology firms influences their placement in the style box. As of the end of 2021, 70% of U.S. thematic funds were positioned on the growth side of the equity style box,

while only 7% fit on the value side. The growth/value gap widened compared to 2020 as more than half of the new launches in 2021 were classified into one of the three growth categories. There has also been a shift in size from large to small, as more niche funds emphasizing purer plays on their targeted themes steer these funds' portfolios towards smaller stocks.

On average, both actively and passively managed U.S. thematic funds impose higher average management fees compared to their non-thematic counterparts. The difference is particularly noticeable when considering asset-weighted fees, especially given that the most popular thematic funds often charge fees many multiples higher than those of the most popular non-thematic funds.

In 2021, over two-thirds of thematic funds performed worse than the Morningstar Global Markets Index. This represents a stark reversal from their excellent performance in 2020, highlighting the volatility inherent in thematic investing. Over the long term, the high fees of these funds contribute to their relatively poor performance compared to broader market indices. A favorable market for growth strategies has generally resulted in thematic funds performing well over the trailing three years, but their success rate diminishes as we look further back in time. Over the decade ending in 2021, nearly 60% of U.S. thematic funds ceased operations, and only 22% both survived and outperformed the Morningstar Global Markets Index.

2.1.3.2 Canada

Canadian thematic funds constitute a small yet steadily growing segment of the Canadian fund landscape. By the end of 2021, this category held slightly over $2.6 billion of investor capital, up from just $405 million in December 2016. Similar to trends observed in other regions, capital inflows commenced vigorously in 2021 but gradually tapered off as performances shifted from favorable to unfavorable. Canadian thematic funds attracted investments totaling $755 million in the first quarter before swiftly declining to less than $200 million for each of the remaining three quarters of the year.

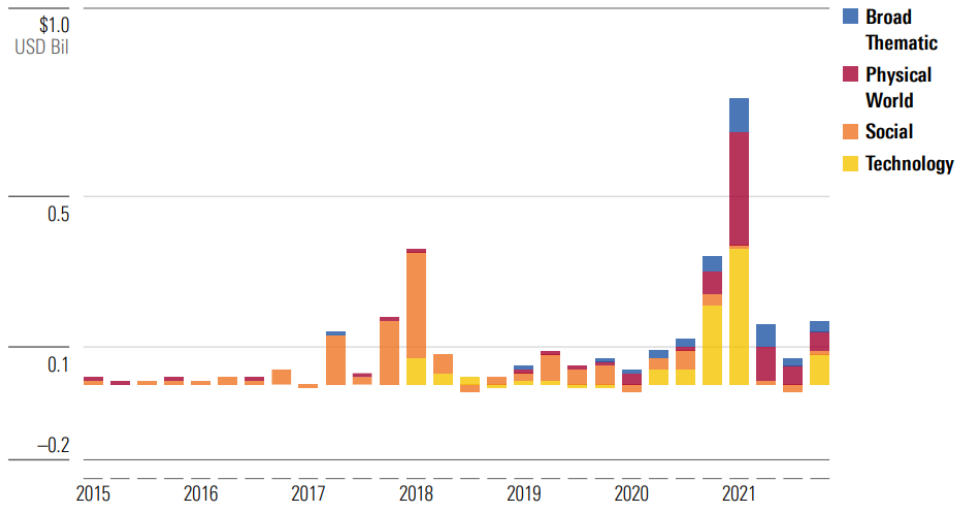


Figure 8- Canada Thematic Flows by Broad Theme (USD Billion) (Source: Morningstar, 31 December 2021)

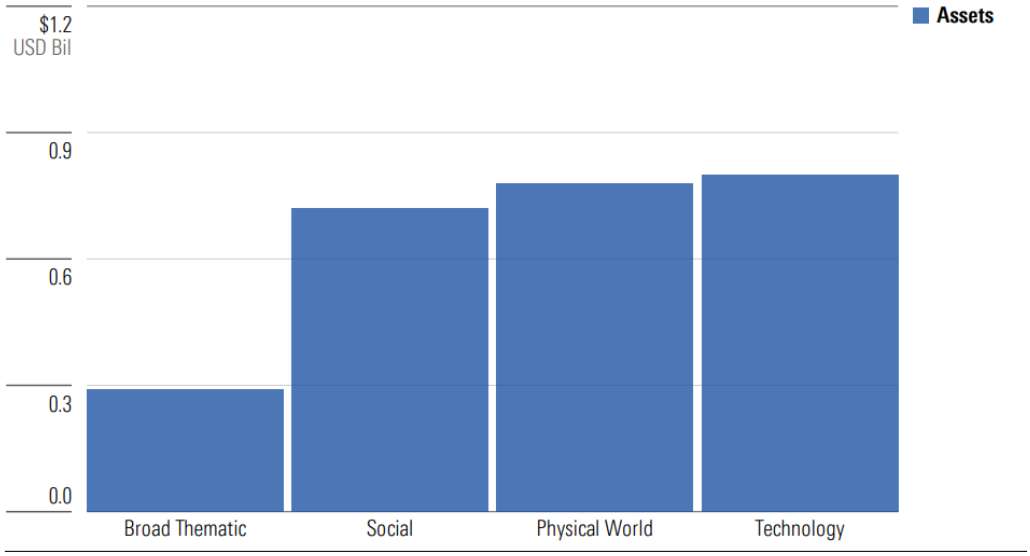


Figure 9- Canadian Thematic Net Flows by Broad Theme 2021 (USD Billion) (Source: Morningstar, 31 December 2021)

Funds focused on technology and the physical world themes garnered significant investor interest in 2021, evidenced by new capital inflows. Overall, investors allocated just over $1.1 billion of fresh capital to Canadian thematic funds throughout 2021, more than doubling the amount invested in 2020. In addition to assets and capital flows, the number of new fund launches has been on the rise since 2016. Canadian fund managers introduced 30 new thematic funds between 2016 and 2020. The number of new launches surged in 2021, with the opening of 23 new thematic funds. Analyzing Canadian thematic funds through our classification reveals an approximately even distribution across funds focusing on social, physical world, and

technology themes. Each of these themes represented approximately $1 billion in thematic fund assets by the end of 2021. *(Figures 8-9)*

Interest in cannabis, consumer, and wellness-related themes bolstered the popularity of funds with a social focus. Funds investing in the energy transition (primarily alternative energy funds) and resource management (mostly water funds) themes constituted the majority within the physical world group. Technology funds, on the other hand, exhibited diversification across a wide range of themes, including cybersecurity, financial technology, future mobility, and robotics + automation, among others.

The largest funds in Canada cover a broad array of themes. With nearly $375 million in assets under management (AUM) at the end of 2021, the iShares Global Water Index ETF was by far the largest thematic fund in the market, representing 14% of all Canadian thematic fund assets. Only five other funds had more than $200 million in assets. Beyond the largest funds, most had small asset bases. As of December 2021, the median thematic fund in Canada had around $20 million in assets, with only 11 having more than $100 million. The presence of funds with smaller asset bases (less than $100 million) suggests that certain strategies or themes have not gained significant traction and may be at risk of liquidation due to insufficient interest.

Many of these funds aim to capitalize on emerging trends expected to grow rapidly in the future. Consequently, approximately 87% of Canadian thematic funds were classified as growth strategies within the equity style category, compared to only 2% for value funds. Fees are a crucial consideration for any investment strategy as they directly impact performance. Analysis reveals that Canadian thematic funds impose higher fees compared to their non-thematic counterparts. These higher fees have contributed to their relatively lower performance over the long term, with the ability to outperform the global stock market diminishing as strategies mature. For instance, approximately half of Canadian thematic funds survived and outperformed the Morningstar Global Markets Index over the three years leading up to December 2021. However, this percentage drops below 20% over the preceding five years.

2.1.3.3 Europe

Europe represents the primary market for thematic funds. As of December 31, 2021, there were 653 thematic funds domiciled in the region, constituting more than half (55%) of all thematic fund assets globally.

Investments in thematic funds domiciled in Europe have experienced over a quadruple growth over the past three years, reaching $437 billion. This growth has been supported by an almost uninterrupted trend of positive quarterly net inflows, amounting to $149 billion over the period.

Many thematic funds in Europe are actively managed, while passive funds represent only 10% of the total thematic assets in the region. In the first quarter of 2021 alone, thematic funds attracted record net inflows of $56 billion.

2021 was a record year for new thematic fund launches in Europe, with the introduction of 139 new funds. Historically, the number of new thematic fund launches has been positively correlated with the performance of broader equity markets. The number of new thematic launches increased before and during the dot-com bubble and the global financial crisis, before declining in the subsequent years.

Broad thematic funds are the most popular thematic grouping by assets in EuropeThe region's largest thematic fund, the Pictet Global Megatrend Selection, is part of this group.

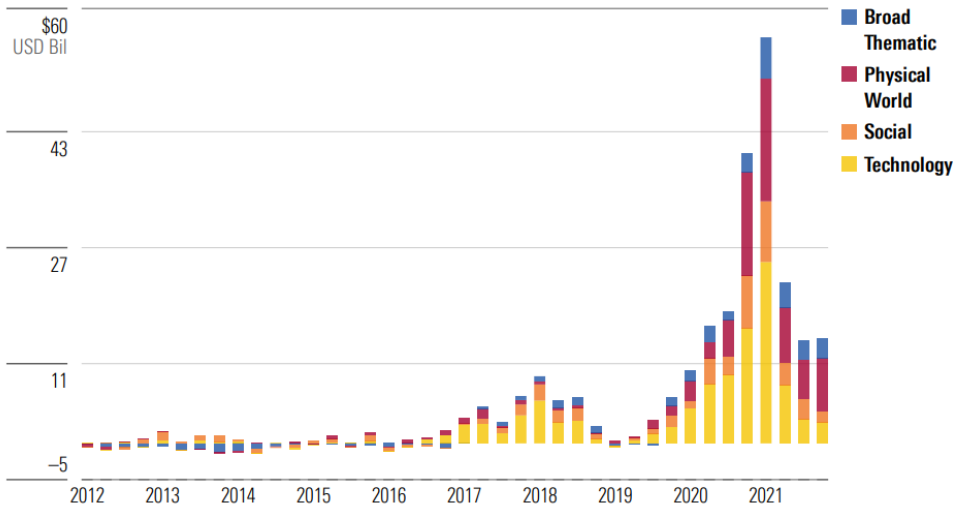


Figure 10- Europe Thematic Flows by Broad Theme (USD Billion) (Source: Morningstar, 31 December 2021)

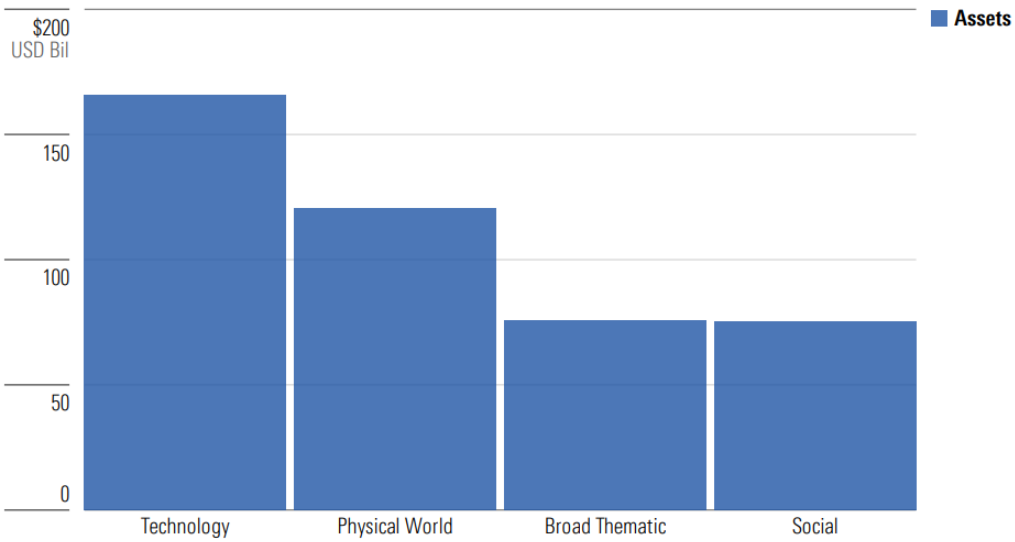


Figure 11- European Thematic Net Flows by Broad Theme 2021 (USD Billion) (Source: Morningstar, 31 December 2021)

The growing popularity of ESG funds in Europe has also influenced the thematic investing sector. At the end of 2020, the announcement of substantial government spending plans by the Biden administration in the United States prompted significant capital inflows into funds with an energy transition theme. Despite a subsequent decrease in net flows, funds seeking to profit from the transition away from hydrocarbon-based energy sources, such as alternative energy funds, have become the second most popular theme in the region.

Pictet Asset Management is the leading provider of thematic funds in Europe. Pictet offers a range of 12 actively managed thematic funds, four of which are among the top 10 thematic funds in Europe. The company's success is based on a measured approach to selecting and monitoring long-term themes, as well as a low rate of fund launches and closures.

BlackRock ranks second in the European thematic provider league table. Its range of actively managed funds, including the notable BlackRock Sustainable Energy and BlackRock Next Generation Technology funds, is complemented by a range of thematic ETFs marketed under the iShares brand.

French asset manager Amundi takes third place. Much of Amundi's thematic range is managed under the CPR Asset Management sub-brand, specializing in sustainable thematic exposures. A small suite of indexed thematic funds has been strengthened by Amundi's acquisition of Lyxor Asset Management, an ETF specialist.

The style and size breakdowns of European thematic funds resemble those of their global counterparts. Many funds with an equity style box placement have a growth tilt, while only a small percentage have a value bias.

Both actively and passively managed European thematic equity funds charge higher management fees than their non-thematic counterparts, on average.

Lastly, the challenge investors face with thematic funds emerges. In the short term, many of these funds have outperformed global equities, but over the long term, the number of those that survive and outperform declines significantly.

2.1.3.4 Rest of the world

The assets invested in thematic funds outside North America and Europe experienced a 37% absolute increase compared to the previous year, reaching $201 billion by the end of 2021. The primary contribution to this growth came from thematic funds in China. Assets invested in thematic funds domiciled in China increased by 51% in 2021, positioning China as the largest market for thematic funds outside of Europe and the United States, with a global market share of 11%. The thematic fund markets in Japan and Korea follow China, with total assets of $70 billion and $15 billion respectively at the end of 2021. Thematic funds domiciled in Taiwan, India, Hong Kong, and Australia constituted a small portion of the thematic fund market by the end of 2021, with assets ranging from $3 billion to $8 billion. *(Figures 12-13)*

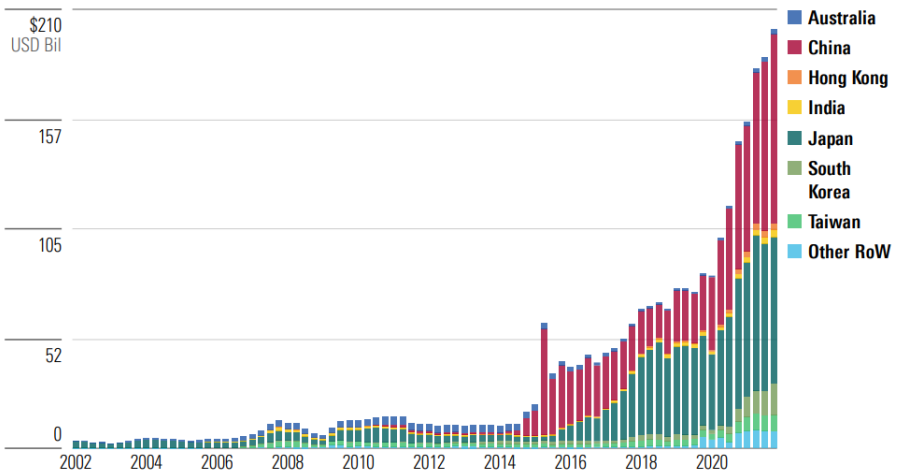


Figure 12- Rest of World AUM Growth by Region (USD Billion) (Source: Morningstar, 31 December 2021)

New launches were a key driver of growth in the 'rest of the world' thematic market. In 2021, asset managers launched over 300 new thematic funds in these markets, easily surpassing the

number of new entrants in any previous year. Half of these new launches came from China, and over 60% of them belonged to the technology theme. Similarly to the trend observed in the United States and Europe, Technology is the most popular theme, accounting for 67% of thematic fund assets in the Rest of the World. This trend also applied to most individual markets. For example, in Japan, over 90% of thematic fund assets resided under the technology theme by the end of 2021. Broad themes of social and physical world received contributions from thematic funds domiciled in China, primarily those belonging to consumer and energy transition themes. Most funds fitting this description were ETFs launched in the past year.

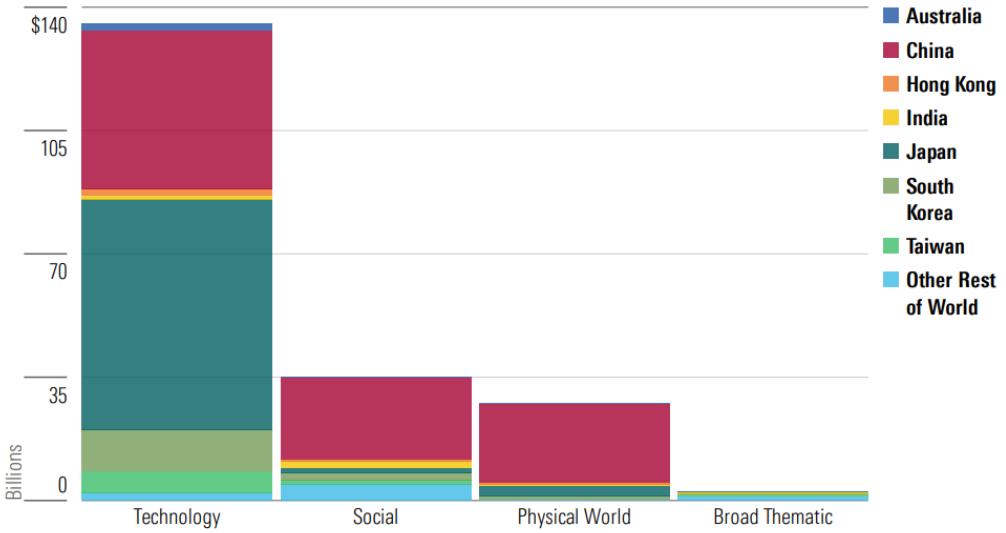


Figure 13- Rest of World Thematic AUM by Broad Theme (USD Billion) (Source: Morningstar, 31 December 2021)

Australia:

The Australian thematic fund market represented $2.6 billion of global thematic fund assets by the end of 2021. From 2016 to 2019, there was a decline in demand for thematic funds. Assets remained stable during this period. Inflows into thematic funds increased from 2020, as ETF providers launched unique products, some of which garnered strong investor interest. Technology funds managed to attract the majority of inflows. Notable launches fell within the technology theme, including VanEck Vectors Video Gaming and eSports ETF, BetaShares Cloud Computing ETF, and BetaShares Crypto Innovators ETF. Other new trend funds follow themes related to sustainability, energy transition, and climate innovation.

China:

Over the past decade, China has become the largest market for thematic funds outside of the United States and Europe. By the end of 2021, the number of thematic funds domiciled in China had risen to 373. These funds held a total of $90 billion. Compared to other markets, the Chinese thematic fund market followed a rather unique path. In the second quarter of 2015, assets in thematic funds in China skyrocketed to $50 billion from $11 billion. This boom was driven by strong stock market performance, inflows, and new launches. After the stock market crash in mid-June 2015, assets in Chinese thematic funds plummeted, and the development of the local thematic fund market stagnated.

More recently, assets in thematic funds domiciled in China have more than tripled over the past two years. Most of the new assets flowed into technology-oriented thematic funds and those fitting our description of the physical world. Meanwhile, the market share of funds falling under the social theme dropped to 26% by the end of 2021, compared to 59% two years ago.

The active/passive split among thematic funds in China has been roughly equal throughout history. While the number of passive thematic funds has increased significantly in recent years and is now nearly double the number of active thematic funds, active funds still accounted for 45% of total thematic fund assets at the end of 2021.

In 2021, a record 169 new thematic funds were launched in China, bringing the total number of thematic funds to 373. Trends in thematic fund launches in China tend to align with the popularity of themes they seek to exploit. Although 2021 was a challenging year for the Chinese stock market, several themes performed well, such as energy transition, digital economy, and future mobility. Asset managers were eager to launch thematic funds to meet the growing demand from investors to capitalize on these themes. In 2021, launches of funds in the themes of energy transition, digital economy, and future mobility accounted for 40% of all new launches.

Energy transition is the most popular theme among Chinese investors. As of December 2021, there were 34 funds in this group, representing 20% of total thematic assets in China. Funds in this group primarily invest in companies engaged in alternative energy generation and distribution, such as solar and other forms of clean energy. Future mobility was the second most popular theme in China. This group counted 34 funds as members. Funds tend to focus on

alternatives to internal combustion engine vehicles and represented 15% of Chinese thematic assets at the end of 2021. The digital economy, a theme populated mainly by internet and e-commerce funds, ranked third with a 14% market share. The largest thematic fund in China falls into this group: CSI China Oversea Net 50 QDII-ETF. The popularity of specific themes has been influenced by the Chinese government's commitment to pursuing economic transformation. In recent years, the transition to a low-carbon and innovation-based economy has become a key focus for the government. The government's carbon neutrality plan, announced in September 2020, has spurred the development of alternative energy funds and electric vehicles. Additionally, the trade war between the United States and China has prompted the government to seek technological independence, fueling the growth of technology-oriented thematic funds.

At the end of 2021, thematic ETF specialist China AMC was the largest provider of thematic funds in China, with AUM of $12.4 billion. China AMC launched 25 thematic funds, 20 of which were passively managed. The company's range of thematic funds includes the third largest thematic fund in the Chinese market, ChinaAMC Hang Seng Int&InfoTech ETF QDII. Investment management company E Fund has 15 passively managed thematic funds and two actively managed funds. E Fund's consistent asset base in E Fund CSI China Oversea Net 50 QDII-ETF made E Fund the second largest provider of thematic funds in China. Asset management companies GF and Fullgoal Fund had similar asset bases of around $7 billion at the end of 2021, placing them third and fourth respectively.

Japan:

The thematic fund market in Japan is the second largest outside of North America and Europe, after China, with total assets of $70 billion at the end of 2021, up 12% from the previous year. Recent growth has been largely driven by inflows into new products. Of the $10.3 billion in net inflows into thematic funds observed in 2021, $7.0 billion came from funds launched during the year. Actively managed funds represented the majority of the local thematic fund market, with 98% of AUM.

Technology funds held the lion's share of the local market, absorbing 94% of total thematic fund assets. They also contributed to most of the inflows in 2021, collecting 92% of the new net money. This group included Goldman Sachs netWIN Technology Equity fund, focusing on the digital economy; Nikko Global Prospective; and SMTAM Next Generation Telecom-Related

World Equity Strategy. The trio ranks at the top of the list of the largest funds in the Rest of the World shown in exhibit 45.

Nikko AM is the largest provider of thematic funds in Japan with a market share of 33%. Most of its thematic funds are focused on technology. Four of Nikko's offerings rank among the top 10 thematic funds in the Rest of the World.

India:

Assets in thematic funds domiciled in India grew by 78% compared to the previous year, reaching $3.7 billion by the end of 2021. Broad themes of social and technology respectively represented 51% and 30% of assets. Funds falling under the consumer theme contributed the majority of assets (81%) in the broader social theme. Actively managed funds accounted for almost all (98%) of AUM in the local thematic fund market.

Hong Kong:

Assets in thematic funds domiciled in Hong Kong grew by 27% compared to the previous year, reaching $2.7 billion by the end of 2021. More than a third of these assets were invested in products launched in 2020 and 2021. Most locally domiciled thematic funds were ETFs, representing 87% of total assets in the thematic fund market. Although the local menu is limited, many Hong Kong investors can choose from the list of European-domiciled thematic funds available for sale on the market.

South Korea:

By the end of 2021, assets in thematic funds domiciled in Korea amounted to $15 billion. Of the 128 local thematic funds, 80 were launched between 2020 (23) and 2021 (57). These new entrants represented 52.5% of thematic fund assets by the end of 2021. Many of the new launches in 2020 explicitly or implicitly aimed to benefit from the Korean New Deal announced by the Korean president in the summer of 2020. The deal involved large government investments in the national sectors of green and digital energy.

Thematic funds that concentrate on battery technology and future mobility themes are some of the largest in the market and have also seen inflows. Among the funds launched in 2021, the main themes fell within the thematic groups of the physical world and technology. In March 2021, the Korean government announced plans to achieve carbon neutrality by 2050. This led to the launch of funds linked to the energy transition.

Taiwan:

In 2021, assets in thematic funds in Taiwan grew by 43% to $8.0 billion. Growth was mainly driven by inflows into new products. Seven of the nine thematic funds launched in 2021 were passively managed ETFs. Inflows into these products contributed to most of the growth in assets in the local thematic fund market in 2021.

Funds corresponding to the communications of the new generation and themes of future mobility represented more than 40% of total assets in the local thematic fund market. The Cathay Taiwan 5G Plus ETF, listed on the Taiwan Stock Exchange in December 2020, became the largest thematic fund in Taiwan. The assets of this ETF amounted to $1.2 billion as of December 31, 2021, representing 16% of total assets in the Taiwan thematic fund market. By the end of 2021, almost three-quarters of thematic funds in Taiwan were actively managed. These funds represented just over half of total thematic fund assets.

2.2 STRENGTHS AND WEAKNESSES

2.2.1 Performance

Thematic investment funds exhibit a wide range of performance over time, reflecting various factors including the specific investment strategy employed, market conditions, and the skill of the fund manager. Some have demonstrated notable returns, capitalizing on rapidly changing market trends or emerging growth sectors. However, it is essential to emphasize that thematic funds may entail specific risks associated with concentration on a particular theme, which can lead to increased volatility and potential losses if the sector or investment theme performs poorly. Therefore, financial investors should carefully evaluate portfolio diversification strategies and thoroughly analyze the past performance of thematic funds before making investment decisions.

For example, the BlackRock Global Funds - World Technology Fund C2 USD, which invests in the most significant and fastest-growing theme of the last decade by focusing on major technology companies, exhibited a performance increase of 676% from November 5, 2011, to November 5, 2021. However, as of January 6, 2023, it experienced a decline of 43%. Presently, after 15 months, it has rebounded and is showing a positive return of 66.5%. *(Figure 14)*



Figure 14- BlackRock Global Funds - World Technology Fund C2 USD all time graphic (Source: Morningstar, 8 April 2024)

2.2.2 Costs

Within the realm of thematic investment funds, it is imperative to meticulously scrutinize the financial implications associated with such investment vehicles. The costs linked to thematic funds may be higher compared to traditional funds for various reasons. Firstly, thematic fund managers are often required to conduct in-depth research and meticulous selection of securities aligning with the fund's specific theme. This decision-making process necessitates additional resources and the employment of qualified industry experts, factors that inevitably escalate management costs. Moreover, thematic funds may entail higher trading activity compared to traditional funds, as they seek to capitalize on opportunities related to a particular investment theme. Such increased trading activity can incur higher transaction costs, such as trading commissions and market spreads. Lastly, thematic fund managers may need to incur additional research and development costs to closely monitor industry trends and dynamics relevant to the investment theme. However, it is essential to carefully evaluate the costs of thematic funds in relation to potential returns and the suitability of the investment, considering individual financial objectives.

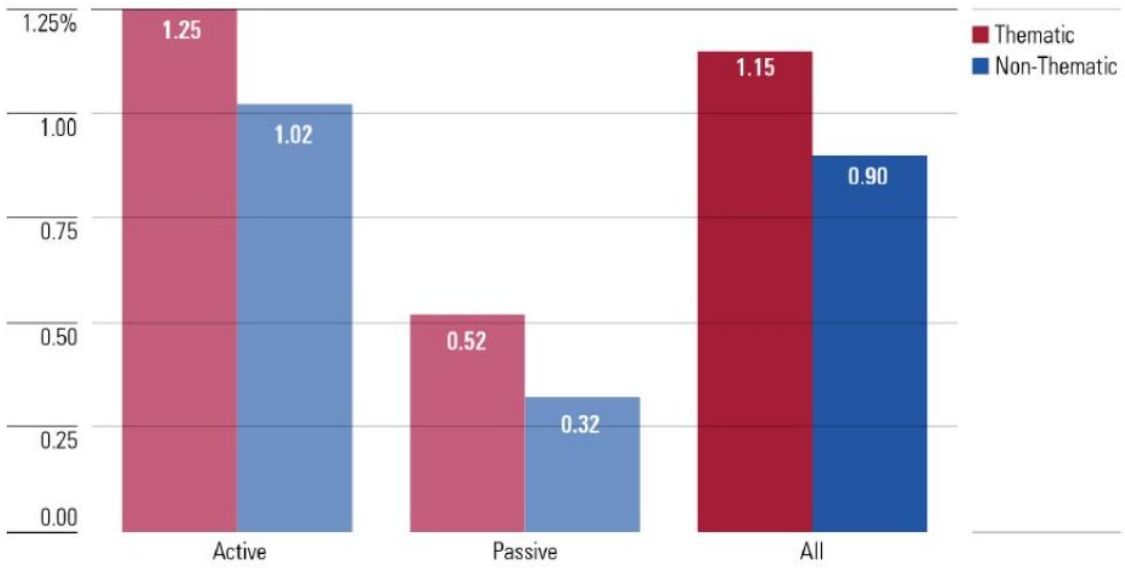


Figure 15- Average Costs of European Thematic Funds Compared to Traditional Ones (Source: Morningstar, 31 December 2019)

2.2.3 Risks

Investors engaging in thematic funds are essentially making a triple bet. Namely, they are implicitly betting on the following:

1) Identifying a winning theme, one that is authentic and enduring.
2) Choosing a fund that is strategically positioned to leverage that theme, one that holds stocks poised to benefit substantially from it.
3) Placing their bets at a juncture where valuations suggest that the market has not yet factored in the full potential of the theme.

The likelihood of success in these bets is low, but the rewards can be substantial, as evidenced by performance.

Selecting winning themes poses a significant challenge. For a theme to have enduring investment value, it must be resilient and offer an opportunity for profitable returns. However, many themes turn out to be short-lived or fail to yield significant gains for public shareholders. Examples include ETFs designed to capitalize on transient themes, such as the now-defunct Innovation Alpha Trade War ETF, launched during the height of U.S./China trade tensions in 2019, and the ProShares Supply Chain Logistics ETF SUPL, introduced in April amidst reports of supply chain disruptions and congestion at major ports.

Similarly, identifying funds well-positioned to capitalize on a specific theme can be daunting. The portfolios of many thematic funds often bear little resemblance to their purported themes. For instance, consider a pair of vegan ETFs: the U.S. Vegan Climate ETF (VEGN) and the VegTech Plant-based Innovation & Climate ETF (EATV). As of May 2024, VEGN's top holdings included Nvidia (NVDA), Broadcom (AVGO) and Apple (AAPL), while EATV's top holdings comprised food ingredient and flavor manufacturers like Ingredion (INGR), Celsius Holding (CELH), and Sensient Technologies (SXT). Clearly, one of these funds' portfolios aligns better with its thematic label. It is insufficient for investors to merely identify the theme; they must ensure that thematic funds hold the appropriate stocks to capitalize on the trend.

By the time a theme garners widespread attention, it is likely that the market has already incorporated its enthusiasm into the stocks best-suited to exploit it. Subsequently, when one or more thematic funds are launched to exploit the theme, there is a high probability that these stocks have been priced optimistically. Should investors join the fray belatedly, future returns may prove disappointing. This pattern is familiar in financial markets, as exemplified by

instances such as the ARK Innovation ETF (ARKK) and the Defiance Digital Revolution ETF (NFTZ). Launched on December 1, 2021, NFTZ, designed to provide exposure to stocks related to nonfungible tokens, blockchain, and cryptocurrency ecosystems, has witnessed a decline of over 64% since inception. In hindsight, the launch of NFTZ may have coincided with the peak of the market's fleeting infatuation with these trends.

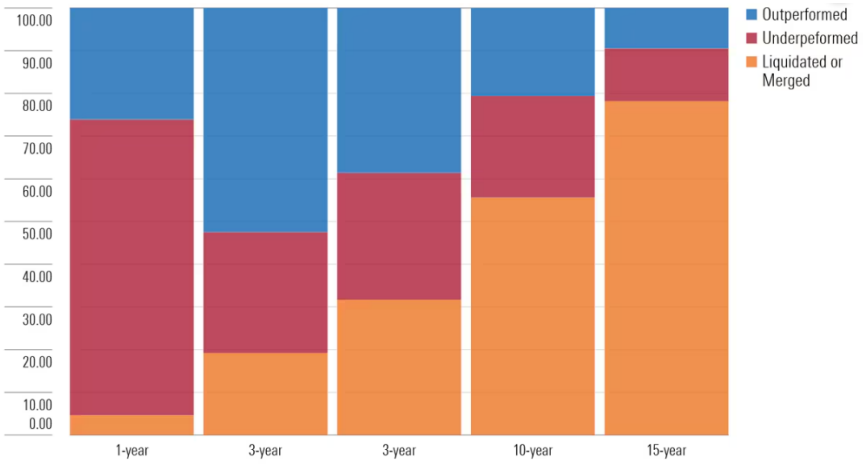


Figure 16- Global Thematic Fund Survival and Success Rate (Source: Morningstar, 31 December 2019)

Figure 16 outlines the challenges confronting investors when choosing a thematic fund that can endure and surpass global equities in performance. The historical performance data for thematic funds paint a discouraging picture, indicating that the likelihood of investors selecting a fund that can sustain itself and outperform over the long term is minimal. Over the 15-year period ending in December 2021, 78% of all thematic funds globally were either liquidated or merged, while an additional 12% managed to survive but underperformed the Morningstar Global Markets Index. Only slightly less than 10% of thematic funds both survived and outperformed the benchmark of the global stock market.

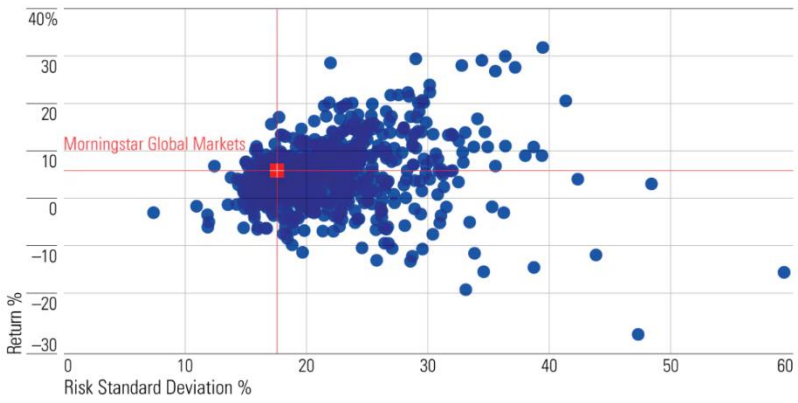


Figure 17- Thematic Fund Risk and Return (Source: Morningstar, 31 July 2022)

2.2.4 Role in the portfolio

2.2.4.1 Thematic equities as satellite allocations

According to Pictet Asset Management, the leading provider of thematic funds in Europe, investors pursuing a core-satellite approach may discover that thematic equities can serve as effective satellite investments.

Under this strategy, a portfolio is divided into two distinct segments. The "core" segment is well-diversified and typically comprises traditional investments like equities and bonds. It is constructed using a standard asset allocation framework and aims to capture the market return from various asset classes, or their "beta". Conversely, the "satellite" segment allocates capital to assets that fall outside the confines of the traditional asset allocation framework. These assets represent a smaller portion of the overall portfolio, typically no more than a quarter of total assets. Allocations to satellites are made either to express investors' structural, long-term views or to seize opportunities that arise over shorter time frames. In either case, the objective is to access additional sources of alpha (returns exceeding or independent of the market) or to diversify risk.



Figure 18- Allocation to representative thematic strategy (Source: Pictet Asset Management, 28 February 2021)

How do thematic equities perform as satellites? *Figure 18* displays the results of their simulation and optimization model. This model combines portfolios that include an allocation to mainstream global equities (MSCI AC World Index) with a global government bond index (ICE

BofA global government bond index), along with a representative allocation to a specific thematic equity strategy from the Pictet Asset Management lineup. The results suggest that for portfolios targeting higher returns and with a higher risk tolerance, allocating up to 20 percent of investible assets to thematic equities may be appropriate.

Each month, a thematic portfolio is randomly selected from the available thematic strategies. The simulation involves 100 random selections followed by the calculation of the efficient frontier. The chart shows the allocation to thematic equities in the bottom third across all simulations.

This outcome, they argue, underscores the focused, targeted, and benchmark-unconstrained approach that thematic strategies adopt.

By investing in specialized companies operating in sectors of the economy that defy traditional classification, the thematic equity investment universe differs significantly from what is represented by global stock indices such as the MSCI World. The absence of investment reference to a market benchmark by portfolio managers offers added flexibility. Consequently, the portfolio exhibits minimal resemblance to mainstream equity indices.

2.2.4.2 Thematic equities as global equity allocations

While the core-satellite investment strategy enjoys popularity, a predominant approach among both professional and non-professional investors involves capital allocation by region. This strategy segments the investible universe into large regional blocs such as North America, Western Europe, and Asia-Pacific.

Nevertheless, a compelling argument exists for establishing a 'global equity' allocation alongside these larger regional allocations. Due to the typically high correlation of returns among regional markets, introducing a distinct global asset class like thematic equity can effectively diversify sources of risk and return.

Certain thematic equity strategies prove more advantageous than others as complements to regional or country-based portfolios. Particularly effective are those that invest across multiple themes simultaneously, resulting in broader diversification. Such strategies may constitute a significant portion of a global equity allocation.

Diesen G. and Freedman S. of Pictet Asset Management have explored the benefits of combining two or more thematic strategies into a single allocation. This approach offers dual

advantages. Firstly, it aligns with fundamental principles, as certain thematic portfolios naturally complement each other, being underpinned by the same structural trends. By consolidating these portfolios, investors can access a wider range of investments aligned with megatrends. Secondly, combining thematic strategies enhances diversification, potentially leading to a superior risk-return profile.

Performance analysis of various thematic portfolio combinations illustrates these benefits. By employing standard optimization techniques, the study demonstrates how portfolios incorporating thematic equities can achieve intermediate risk profiles, even when excess returns are modest, or volatility is higher.

The results suggest that under reasonable assumptions, thematic combinations can warrant a significant allocation within a diversified portfolio. In some cases, this indicative allocation surpasses that recommended for global equities, underscoring the potential for thematic equities to constitute a substantial portion of a global equity portfolio.

One explanation for the benefits of combining themes lies in the greater sector diversification provided. Thematic combinations offer exposure to a broad range of industry sectors, although they may not match the level of sector diversification found in global equity portfolios. Nonetheless, their diversification across industry sectors remains robust, contributing to their appeal as a portfolio component.

2.3 PERFORMANCE AND VOLATILITY OF MEGATRENDS

2.3.1 Technology

The technology broad theme includes funds that target the disruptive growth potential of technological change, such as the following themes: artificial intelligence + big data, battery technology, cloud computing, cyber security, digital economy, digital media, electronics, fintech, future mobility, life sciences, nano tech + smart materials, next gen communications, robotics + automation, space, virtuality reality and gaming, multiple technology.

The technology sector has witnessed remarkable performance over the past year. A shifting macroeconomic landscape in 2023 contributed to the resurgence of investor interest in tech stocks. This resurgence was further propelled by groundbreaking advancements in artificial intelligence (AI), which signaled the potential for a new era of innovation in the sector.

Looking ahead, the performance of the tech sector will undoubtedly be influenced by the macro environment. However, for investors with a longer-term perspective, trends such as the advancement and widespread adoption of AI, ongoing digitization efforts, and the transition to cloud computing hold promise for driving growth in the sector over the coming years.

The past year served as a stark reminder of how market conditions can evolve rapidly. Just a year ago, the tech sector was grappling with double-digit losses, leading some investors to question its prospects. Unlike some other sectors, tech sector performance is particularly sensitive to changes in interest rates, as evidenced by the impact of the Fed's rate-hiking cycle and persistent inflationary pressures on tech stocks at the outset of 2023.

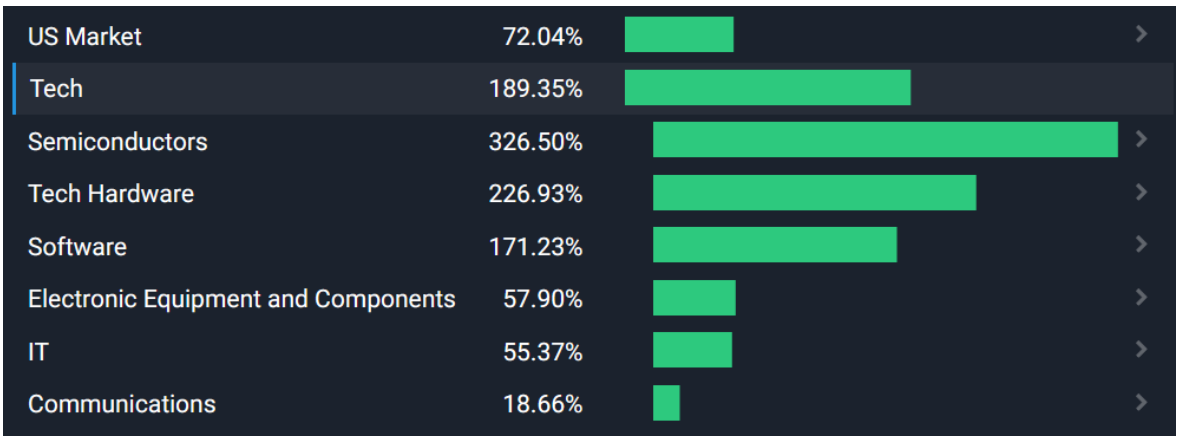


Figure 19- Technology sector returns over the past 5 years (Source: Simply Wall St, 9 April 2024)

However, the tide began to turn last year. As inflationary pressures eased and the prospect of the Fed's rate-hiking cycle nearing its end emerged, relief rallies ensued. Investor sentiment shifted markedly in favor of tech stocks once again, driven in part by the buzz surrounding the launch of ChatGPT and robust performances from AI-related companies. The tech sector emerged as the top performer among all market sectors in 2023 and has continued to outpace the S&P 500 into 2024, as of late January. *(Figure 20)*

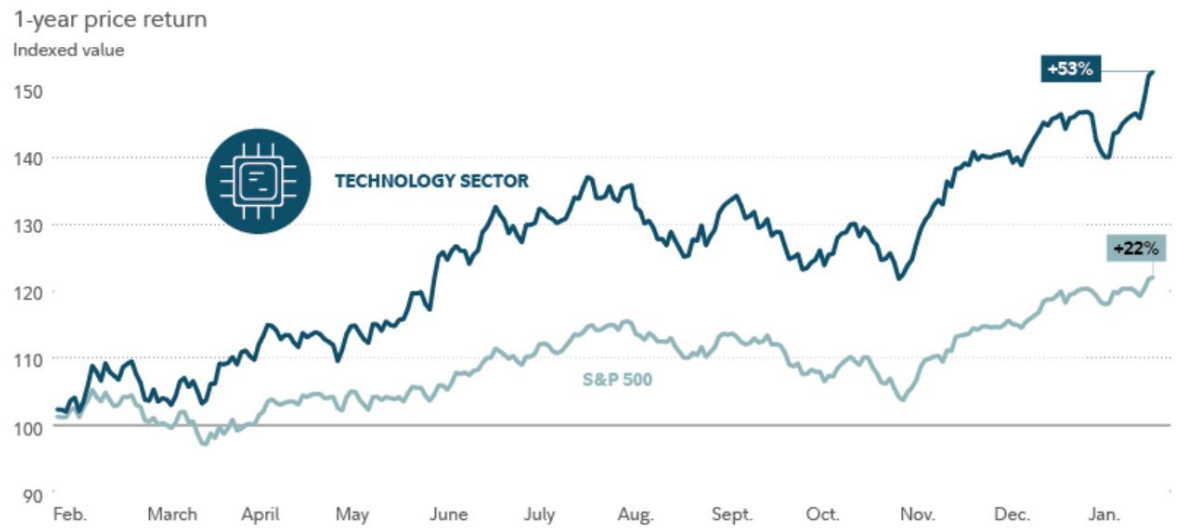


Figure 20- One-year price performance of the technology sector, compared with that of the S&P 500 (Source: Fidelity, 29 January 2024)

Furthermore, according to the U.S. Bureau of Labor Statistics, jobs in computer and information technology are poised to grow 13% between 2020 and 2030.

Based on findings by S&P Global research, the sectors exhibiting the highest volatility throughout the 2010s (spanning from December 31, 2009, to December 31, 2019) were primarily those significantly influenced by abrupt fluctuations in oil prices. Within S&P Global's analysis, the technology sector notably secured the fourth position among sectors characterized by heightened volatility, registering a standard deviation of 14.8%.

Stock prices within technological stock indices can experience swift fluctuations driven by various factors such as news releases, industry developments, or shifts in investor sentiment. Consequently, investing in these indices entails heightened risks compared to other sectors.

Moreover, technological stock indices often exhibit a high dependency on a select few dominant companies within the technology sector. This concentration of influence amplifies the risk profile of the index, as any adverse performance or significant crisis affecting one of these key players can reverberate throughout the entire index, impacting overall performance.

Furthermore, the technology sector's rapid pace of innovation introduces the risk of technological obsolescence. As new disruptive technologies emerge, companies currently at the forefront of the sector may swiftly lose their competitive edge and relevance. This risk of obsolescence poses a notable threat to the stability and performance of technological stock indices, necessitating careful consideration and risk management strategies by investors.

2.3.2 Physical world

The physical world theme includes funds that address the management of physical resources. This category includes funds that support the shift towards a low-carbon world, such as alternative energy funds. This theme includes the following themes: energy transition, food, logistics + transportation, resource management, or broad physical world.

2.3.2.1 ESG

ESG criteria, which assess how effectively public companies protect the environment and the communities in which they operate, as well as their adherence to high standards of management and corporate governance, are pivotal in contemporary financial analysis.

Hank Smith, Head of Investment Strategy at The Haverford Trust Company, underscores the essence of ESG investing to catalyze positive societal changes through enhanced investment practices. ESG investing posits that specific environmental, social, and corporate governance elements significantly influence a company's overall performance. By integrating ESG factors into investment considerations, stakeholders gain a comprehensive understanding of the companies they support, potentially mitigating risks and identifying favorable prospects.

The three primary criteria utilized to evaluate companies for ESG investment are:

Environment: This criterion assesses a company's environmental impact, encompassing factors such as its carbon footprint, efforts to abstain from or mitigate the use of toxic chemicals in manufacturing processes, and commitment to sustainability across its supply chain.

Social: Evaluation of a company's social impact scrutinizes its initiatives within the organization and in the broader community. Social considerations span from fostering LGBTQ+ equality and racial diversity in leadership and staff to implementing inclusive hiring practices and advocating for social welfare beyond business confines.

Governance: The governance aspect evaluates how a company's board and management drive positive change. This includes matters such as executive compensation, diversity in leadership roles, and the responsiveness of management to shareholder concerns.

ESG investing transcends mere acronymic representation for many, evolving into a pragmatic approach to assessing a company's engagement with its stakeholders, including employees, communities, customers, and shareholders, with the environment also regarded as a stakeholder. Mike Walters, CEO of USA Financial, underscores the importance of measuring a company's impact on its stakeholders as a cornerstone of quality ESG investing, asserting its utility in gauging a company's resilience and longevity.

ESG research firms employ diverse methodologies to score companies based on their ESG performance. These scores furnish investors with a standardized metric for comparing investment opportunities. Linda Zhang, Senior Advisor at SoFi and CEO of Purview Investments, highlights the multifaceted evaluation criteria encompassing environmental, social, and governance facets employed by rating firms.

The alignment of investment choices with personal priorities, such as environmental and social concerns, drives the growing interest in ESG investing. Zhang emphasizes investors' desire to support companies that champion ESG principles, thereby contributing to positive societal change.

Year	Vanguard ESG U.S. Stock ETF (ESGV)	S&P 500 Index
2019	33.4%	31.5%
2020	25.7%	18.4%
2021	26.4%	28.7%
2022	-24.0%	-18.1%
2023 YTD	24.8%	21.4%

Figure 21- Vanguard ESG U.S. Stock ETF, compared with S&P 500 (Source: Morningstar, 4 December 2023)

Beyond its societal benefits, ESG investing can yield competitive returns. For instance, the Vanguard ESG U.S. Stock ETF (ESGV) has demonstrated robust performance, outpacing the broader U.S. stock market over certain periods. This challenges the misconception that responsible investing necessitates sacrificing returns, as Hank Smith asserts. *(Figure 21)*

However, critics have emerged, characterizing ESG investing as a politically driven agenda. Despite pushback from conservative circles, numerous financial leaders, including Larry Fink of BlackRock, defend ESG investing as a manifestation of stakeholder capitalism, emphasizing its role in fostering mutually beneficial relationships among businesses and their broader ecosystem, rather than advancing ideological agendas.

In 2019, Ielasi F. and Rossolini M. conducted a study to examine the performance of sustainability-themed mutual funds (ST funds) compared to other responsible funds employing sustainable investment strategies (SR funds) and thematic funds focusing on themes other than sustainability (TH funds). They aimed to assess whether ST funds demonstrate significant differences in risk-adjusted performance, particularly during periods of financial distress and increasing market awareness about sustainability.

The backdrop of their research is the evolving regulatory landscape, notably in the European Union, integrating sustainability considerations into financial policy frameworks. This includes initiatives such as the Paris Agreement and the 2030 Agenda for sustainable development, which have prompted regulatory actions and proposals to align financial investments with sustainable objectives.

Their analysis revealed that, when compared to SR funds, ST funds exhibited no statistically significant differences in returns and Alpha, but displayed higher exposure to market risk. This finding contradicted the initial hypothesis, indicating that ST funds can generate risk-adjusted returns like other SR strategies. Moreover, both ST and SR funds reacted similarly to financial turbulence and regulatory changes related to sustainability, without compromising portfolio diversification due to the cross-sector and cross-country nature of sustainability themes.

However, when compared to TH funds, ST portfolios underperformed and showed greater exposure to market risk due to their specific investment style and asset allocation, emphasizing a growth orientation over short-term profitability. This confirmed the hypothesis that ST funds have a lower capacity for risk-adjusted returns compared to other thematic strategies. Despite

this, ST funds demonstrated resilience during financial distress compared to TH funds, suggesting that environmental, social, and governance (ESG) factors can function as shock absorbers.

Furthermore, the study found that ST funds outperformed TH funds during periods of increased market transparency and investor awareness about sustainability, reflecting the demand-side influence on fund performance.

Overall, the research highlights that the risk-adjusted performance of ST funds is more influenced by their responsible nature than their thematic approach. These findings offer insights for investors and asset managers in assessing the inclusion of responsible funds in their portfolios, particularly in navigating regulatory changes and accessing assets difficult to invest in directly. Additionally, the study's findings can inform ongoing regulatory efforts, such as the development of standards for sustainable products, and stimulate further research in the growing field of sustainability-themed funds.

2.3.3 Society

The social broad theme includes funds that look to capitalize on structural changes in society, such as the following themes: cannabis, consumer, demographics, political, post-corona, security, wellness, other, or broad social.

2.3.3.1 Consumer goods

Consumer goods encompass a wide array of products, which can be classified into durable or nondurable categories, constituting a significant segment within various industries. Essential items like food are indispensable, whereas luxury goods such as automobiles are considered discretionary purchases. Typically, during periods of economic expansion, consumer demand escalates, leading to heightened interest in premium products. Conversely, during economic downturns, there's a notable shift towards value-oriented offerings as consumer preferences adjust.

The performance of the consumer goods sector is intricately linked to consumer behavior. Investors engage in a thorough assessment of the balance sheet of consumer-packaged goods (CPG) companies, scrutinizing metrics like inventory turnover and accounts receivable turnover for insights into operational efficiency and financial health.

Consumer trends, as categorized by Morningstar in the latest report dedicated to thematic fund universe, approach approximately 34 billion euros in assets under management (AUM) in Europe for products investing in this megatrend (data as of December 31, 2021). *(Figure 22)*

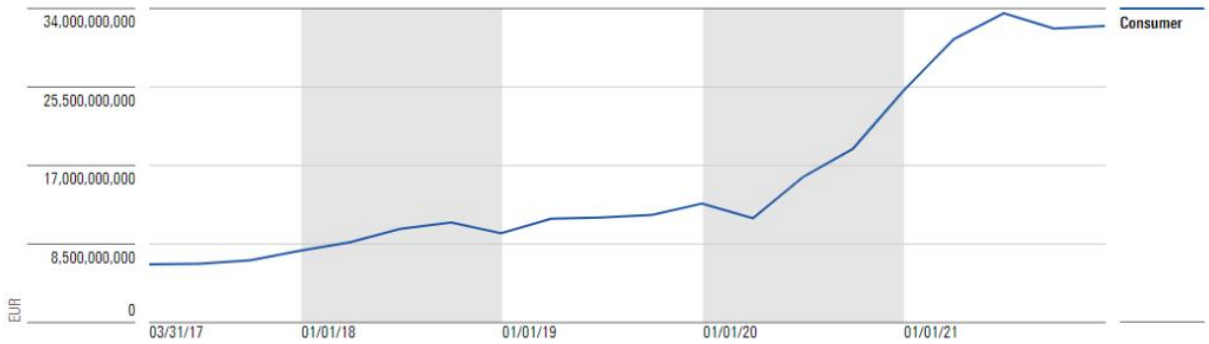


Figure 22- AUM in Europe for products investing in consumer trends (Source: Morningstar, 31 December 2021)

Frank Di Crocco, the Head of Banks and Wealth Management at Invesco, highlighted that consumers are expected to persist in seeking experiences without viable digital substitutes, such as travel and entertainment, even after the Covid-19 pandemic. Concurrently, there is a growing inclination towards digital public utility services, such as ridesharing, online travel agencies, and dating apps. This fusion of physical and digital realms is advantageous to the consumer/user, as articulated in connection with the Invesco Global Consumer Trends Fund.

2.3.3.2 Demographic factors

The global phenomenon of population aging has evolved into a significant investment opportunity. Referred to as the Silver Economy, this trend encompasses activities tailored to the aging demographic within our societies. Changes in global demographic data, extending beyond the average age of the world's population to include density, education levels, and other aspects, are expected to bring about significant social shifts and thereby present new challenges and opportunities for both governments and businesses.

"This demographic megatrend underpins many other structural changes, such as technological development. Although the changes will vary by region, they will have a profound effect on both local and global markets and societies," according to a BlackRock report from 2018.

According to UN estimates, the global population is projected to increase by over a billion by 2030, with the majority of this growth emanating from emerging markets. By 2050, the UN predicts that 80% of the global population over the age of 60 will reside in countries currently considered "less developed." Currently, Japan stands as the sole country where 30% of the population is over 60 years old. The latest United Nations demographic report forecasts that by 2050, this will be the case in 55 countries.

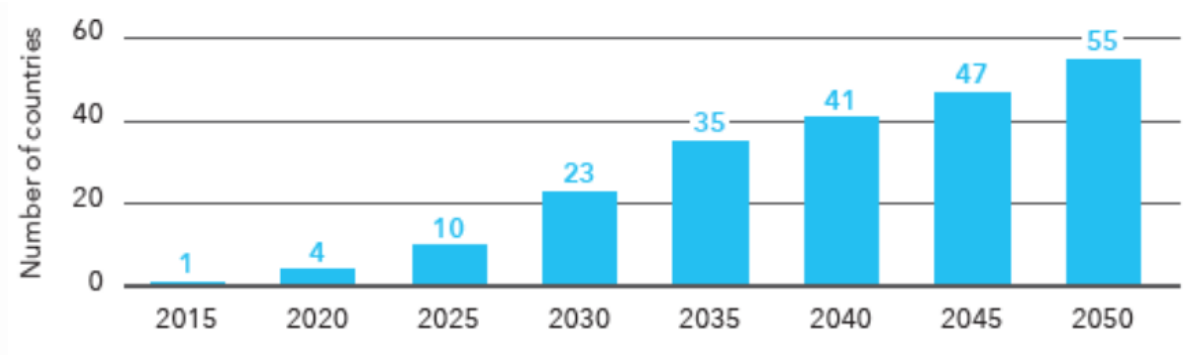


Figure 23- Number of countries with > 30% population aged over 60, 2015-2050 (Source: United Nation World Population Prospects: The 2015 Revision, July 2015)

"People will live longer in retirement, necessitating widespread changes in public pension policies. This will also create the need for further development of healthcare services and research in this field," BlackRock's analysis continues.

According to a study by the World Economic Forum, the pension savings gap in the eight largest economies (the G8) is growing by $28 billion every 24 hours and could reach $400 trillion by 2050—approximately five times the current size of the global economy.

"In general, we are having fewer children, particularly in the wealthier and more educated sections of society. This potentially has far-reaching consequences for businesses, including lower productivity, reduced workforce participation, and diminished investment growth," reads BlackRock's analysis. "Younger generations will increasingly bear the burden of caring for the elderly, which in turn could further reduce productivity." *(Figure 23)*

The impact of demographic change is far-reaching, affecting product demand, workforce modifications, and family structure. While many businesses excel at identifying threats and

opportunities arising from such changes, governments may find the process more challenging, especially if it involves implementing unpopular policies that could negatively affect voters.

Some of the primary changes that analysts at the American asset management company believe could impact investors in the medium to long term are:

Healthcare expenditure: In the United States alone, healthcare spending is projected to increase by 8% of GDP annually between now and 2040. This equates to around $3.4 trillion per year.

Pension income solutions will become more important: There will be a renewed focus on retirement savings and seeking effective methods to benefit from income in retirement. Consequently, there may be an increased need for financial assistance and a rise in robo-advisory solutions.

Advancement of robotics: As populations age, it becomes increasingly likely that companies will use technology to bridge the gap in labor supply. Robots are more productive, do not sleep, and do not get sick, although they may encounter technical issues. As a result, there will be a greater demand for skilled jobs.

Consumer preferences are changing the food industry: Consumers are becoming increasingly conscious of what they eat, how they eat it, and how it is produced, leading to significant changes in the food chain. For example, organic food sales in the United States increased by 224% from 2005 to 2016. Fresh food is preferred over processed food, and products with specific health-related benefits, such as avocado and berries, have seen excessive growth. Consumers want their food to be more convenient and quicker to consume, with an increasing preference for online delivery.

3 STUDY OF KEY CONSUMER GOODS SECTORS

3.1 TECHNOLOGY AND INNOVATION

3.1.1 Market dependent on big tech

The performance of the Magnificent Seven stocks outpaced both the Nasdaq Composite, the S&P 500 and the MCSI All-Country Index during the previous year *(Figure 24)*. This notable achievement, in conjunction with the substantial market capitalization of each entity, prompted Bank of America analyst Michael Hartnett to introduce the term "Magnificent Seven" to describe Microsoft, Apple, Nvidia, Alphabet, Amazon, Meta Platforms, and Tesla.



Figure 24- Magnificent Seven compared to S&P 500 e MCSI World Index (Source: Bloomberg, 2024)

In 2022, the Nasdaq Composite and numerous prominent technology stocks experienced significant declines driven by inflation concerns as apprehensions regarding an economic downturn proliferated. The market experienced a sense of relief in 2023 as inflationary pressures began to alleviate, and prospects for the Federal Reserve to reduce interest rates emerged.

The widespread integration of ChatGPT technology introduced a new focal point for market enthusiasm: artificial intelligence (AI). While AI is not a novel concept, the widespread

utilization of AI tools within professional environments and daily activities has garnered substantial attention.

Wall Street often becomes captivated by prevailing trends, sometimes at the expense of overlooking opportunities lying beyond the immediate trend. Companies constituting the Magnificent Seven, which strategically leverage AI and possess a clear roadmap for leveraging AI to bolster earnings growth, have been duly rewarded. Conversely, those entities lacking such strategic foresight, notably Apple and Tesla, have encountered market repercussions. *(Figure 25)*



Figure 25- Nvidia, Meta and Amazon are the three remaining generals making new highs with the markets (Source: Forbes, 29 February 2024)

Bloomberg data indicates that investing in an S&P 500 index fund currently entails allocating approximately 30% of one's investment into merely seven stocks. This contrasts with historical patterns, where the top seven stocks by market capitalization accounted for only 21% of the benchmark index. Notably, despite the index encompassing a total of 500 stocks, investor preference appears heavily skewed towards the top seven. This inclination not only deviates from the principles of diversification but also suggests potential overvaluation of the most widely held stocks.

Consequently, the S&P 500 index seems disproportionately influenced by technology stocks alone, raising significant questions about the index's inherent robustness. The index's concentration has intensified since the 1970s, a trend observable even when comparing the performance between the market cap-weighted index (the conventional index) and the Equal Weighted index, with the disparity reaching unprecedented levels.

This underscores the concept of market breadth, utilized by analysts to assess the vigor or fragility of a trend within the stock market, as well as to gauge overall market sentiment. In this context, if a majority of stocks within a market index exhibit upward price movements, it is indicative of a strongly bullish market trend. Conversely, if most stocks experience declines, with the index primarily buoyed by a select few stocks or sectors (as currently observed), it is highly probable that the index's strength is constrained, reflecting a lack of consensus in market direction.

3.1.2 Nvidia and the comparison with Cisco

NVIDIA CORPORATION focuses on graphics for personal computers (PCs), graphics processing units (GPUs), and artificial intelligence (AI). It operates through two segments: GPU and Tegra Processor. The GPU product brands target specialized markets, including GeForce for gaming, Quadro for designers, Tesla and DGX for AI computer scientists and large data researchers, and GRID for cloud-based visual data processing users. The Tegra brand integrates an entire computer into a single chip, incorporating GPUs and multi-core central processing units to power supercomputers for mobile gaming and entertainment devices, as well as autonomous robots, drones, and cars. The Company's processor creates platforms aimed at four markets: Gaming, Professional Visualization, Data Center, and Automotive. Offerings include the NVIDIA DGX AI supercomputer, the NVIDIA DRIVE AI computing platform for cars, and the GeForce NOW cloud gaming service.

As of April 12, 2024, NVIDIA is valued at $906.16 on the stock market, reflecting a 60.15% increase over the past three months and a 220.36% increase since the beginning of the year. *(Figure 26)*



Figure 26- NVIDIA's stock chart over the past 10 years (Source: FinecoBank, 12 April 2024)

However, concerns have arisen among certain analysts regarding potential overvaluation of the stock. Moreover, the company faces the prospect of being adversely affected by escalating tensions between China and the United States. American authorities have imposed restrictions on the export of high-end semiconductors to Chinese entities as part of a broader framework of technological embargoes. These geopolitical developments pose a risk of dampening the company's revenue prospects.

Comparisons have been drawn between Nvidia and Cisco Systems *(Figure 27)*, both of which experienced significant declines in their stock prices during the burst of the dot-com bubble in the early 2000s. However, At October 2023, Pierre Ferragu, an analyst at New Street Research, refutes any direct parallels. He contends that Nvidia is not exhibiting the valuation characteristics indicative of a bubble, suggesting that the downside risk remains relatively contained.

Ferragu highlights the disparity between the revenue growth trajectories of Nvidia and Cisco during the dot-com era. While Cisco experienced a fifteenfold increase in revenues, accompanied by stock price valuations reaching 121 times the projected 12-month earnings and 22 times estimated sales, Nvidia's revenue growth has been less pronounced, with a sevenfold increase. Furthermore, Nvidia's stock currently trades at 27 times future earnings and 14 times sales, indicating a comparatively lower valuation.

Instead, the tech guru Cathie Wood, in early March 2024, has raised concerns regarding Nvidia, suggesting that its impressive growth trajectory may be poised to decelerate. She drew parallels between Nvidia's current market surge and Cisco's performance during the dot-com bubble era. Wood, serving as a technological evangelist and CEO of Ark Invest, conveyed these observations in a letter addressed to shareholders on Thursday. In her analysis, Wood likened Cisco's ascendancy, fueled by the demand for network hardware during the 1990s internet boom, to Nvidia's contemporary dominance in supplying record quantities of graphics chips to firms engaged in artificial intelligence development. She underscored the notion of a shared "technological moment," emphasizing the fluctuations in Cisco's stock value during the dot-com era. Notably, Cisco's stock witnessed a 31-fold increase over a span of 3.5 years until March 1994, followed by a subsequent 51% decline over the ensuing four months due to recessionary concerns and market competition. Despite this setback, Cisco's stock eventually surged 71-fold by the peak of the internet bubble in March 2000, only to plummet approximately 90% over the subsequent years. Wood contends that Nvidia currently follows a similar trajectory, having experienced a notable surge in its stock value. She highlighted Nvidia's remarkable growth, with its stock value increasing 117-fold over the past nine years since February 2015, and a 23-fold increase since October 2018, notwithstanding a significant downturn during the "crypto winter" period, when Nvidia's stock depreciated by 56% within three months. Wood's analysis suggests that akin to Cisco's pivotal role in the internet revolution, Nvidia has emerged as the defining company of the AI era. However, she cautioned that companies occupying such pivotal roles in emerging tech paradigms are prone to significant fluctuations in their stock prices. Nvidia's recent rapid growth has been fueled by increased demand for its chips from companies such as Tesla and Oracle. Yet, Wood warned that this heightened demand may result in customers acquiring excess chip inventory. Furthermore, Nvidia's forecasts of a growth slowdown this quarter, coupled with reduced lead times for chip delivery, indicate a potential balance between supply and demand. Wood cautioned against excessive investment in Nvidia's GPU capacity without a corresponding increase in software revenue. She further suggested that Nvidia's customers might scale back chip purchases as they work through and reduce their existing inventories. In the long term, Wood anticipated intensified competition for Nvidia, not only from AMD but also from Nvidia's own customers—cloud service providers and firms like Tesla—developing their AI chips. Wood's assessment reflects concerns about Nvidia's slowing growth, reduced spending, and heightened

competition. However, she acknowledged the possibility of unforeseen advancements in AI technology, suggesting that the current scenario remains open to various outcomes. In recent months, Wood has expressed increasing wariness about Nvidia, revealing Ark's decision to trim its exposure to the stock as market expectations may have become overinflated. Despite Nvidia's substantial stock value increase of nearly 90% this year, elevating the company's market capitalization to over $2 trillion, Wood's analysis underscores the need for cautious investment strategies. Ark's portfolio holdings reveal a relatively modest $64 million worth of Nvidia across its various funds, compared to significantly larger investments in Coinbase and Tesla, which rank as its two largest holdings. Nvidia currently ranks as Ark's 41st largest holding out of nearly 200.

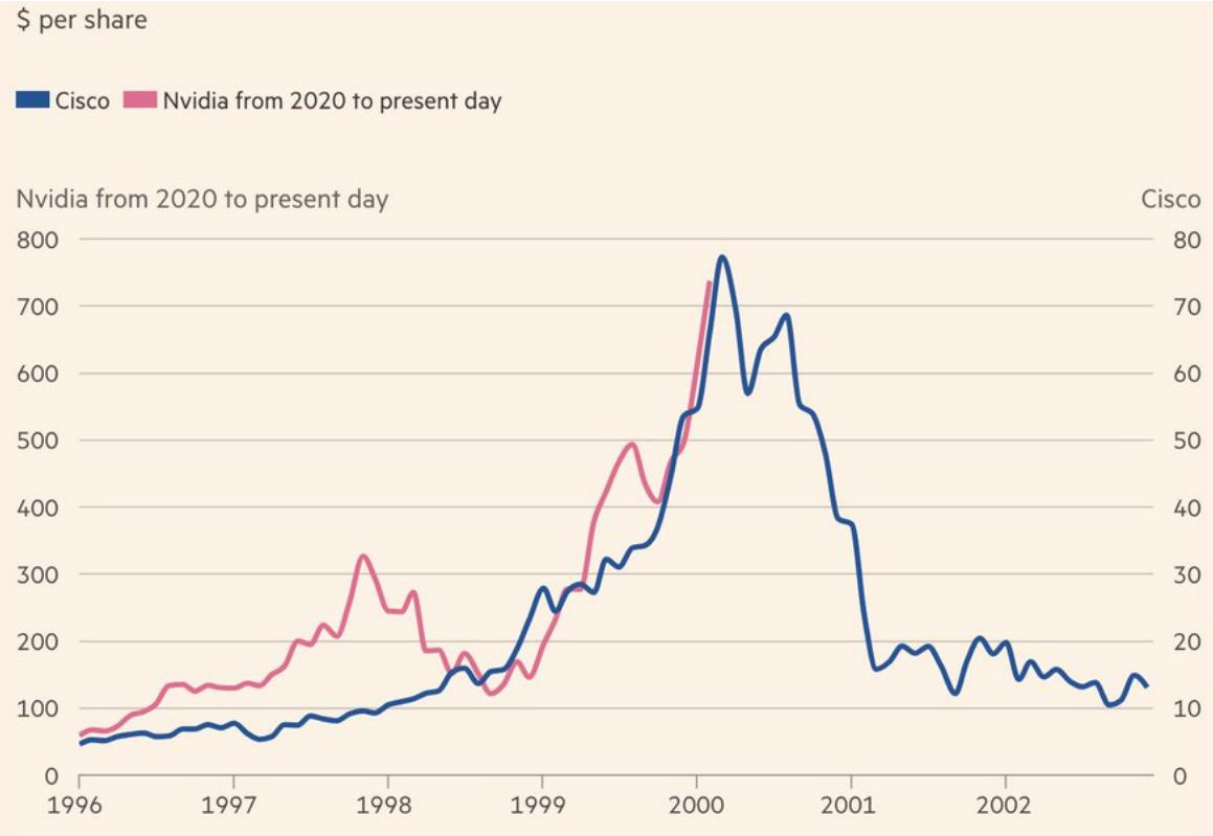


Figure 27- Cisco vs Nvidia: the tale of two stocks (Source: Financial Times, 20 February 2024)

3.2 E-COMMERCE

3.2.1 How the pandemic has changed our shopping habits

The COVID-19 pandemic has fundamentally transformed the landscape of shopping, significantly impacting the e-commerce sector. According to a survey conducted by the United Nations Conference on Trade and Development among approximately 3,700 consumers in nine economies, including Italy, over half of the respondents reported an increase in online purchases during the pandemic compared to the pre-COVID period. This phenomenon was accompanied by a substantial rise in online purchases across various product categories, with an increase of at least 10% in sectors such as electronics, do-it-yourself, education, cosmetics, household products, and pharmaceuticals.

Despite this surge in online shopping, there has been a decrease in the average monthly spending per buyer. This has been attributed to the fact that, in a period of economic uncertainty, many consumers preferred to postpone larger purchases, focusing instead on essential goods and daily necessities. However, sectors such as tourism and travel experienced a significant contraction, with online spending per buyer decreasing by up to 75%.

The change in spending behaviors varied according to the age of consumers. For example, Generation Z and millennials drastically reduced their purchases during the pandemic, while a relatively small percentage of Generation X preferred to save during a period of economic uncertainty. These changes have led to an increased search for online deals and heightened price sensitivity.

The lockdown accelerated the transformation of traditional commerce towards e-commerce. During the quarantine period, 77% of online businesses managed to acquire new customers. In particular, the two major global marketplaces, Amazon and AliExpress, saw significant increases in transaction volumes in Italy, with growth rates of 38% and 103%, respectively. Sales of consumer goods also experienced significant growth, with a 162.1% increase between late February and late March, according to Nielsen data.

The penetration of e-commerce into the total retail purchases increased from 7% in 2019 to 9% in 2020 in Europe. However, Italy lagged behind other European countries, with only 38% of citizens making online purchases. Nevertheless, forecasts indicate that online grocery sales will surpass $250 billion by 2025, representing 21% of total grocery sales.

The pandemic has pushed grocery stores to implement new strategies, such as online orders, deliveries, and contactless payments. Even physical stores have had to adapt, transforming the way they serve customers. This trend is expected to continue, as e-commerce remains a growth engine in the retail sector.

3.2.2 Amazon



Figure 28- Amazon's stock chart over the past 10 years (Source: FinecoBank, 13 April 2024)

In the realm of e-commerce, Amazon stands as the unequivocal frontrunner. The company's financial performance in 2020 underscored its dominance, with a notable 38% surge in net sales. Furthermore, consumer behavior shifts during the pandemic suggest a sustained reliance on online shopping channels. A study conducted by Salesforce revealed that nearly 60% of consumers anticipate increasing their online shopping post-pandemic. *(Figure 28)*

Amazon's logistical prowess remains unparalleled in the industry. Through strategic investments in infrastructure, including an extensive network of warehouses and a substantial fleet of delivery vehicles, Amazon has optimized its ability to deliver goods within two days or less. Moreover, the company leverages sophisticated artificial intelligence and analytics to anticipate consumer demand effectively, ensuring swift order fulfillment.

While competitors like Walmart have made strides in the e-commerce space, they have yet to match Amazon's logistical efficiency.

Amazon's platform offers unparalleled convenience to consumers, characterized by competitive pricing, expedited shipping through Prime membership, and intuitive user interfaces. The seamless shopping experience, coupled with features like one-click purchasing and personalized product recommendations, minimizes friction in the buying process.

In contrast to other digital shopping platforms, Amazon's comprehensive ecosystem eliminates the need for consumers to navigate multiple websites or create new accounts for each purchase. The platform's predictive capabilities further enhance the consumer experience by providing accurate delivery estimates upfront.

Given these advantages, Amazon has become the default shopping channel for many consumers. Brands that overlook Amazon risk losing market share to competitors who capitalize on the platform's widespread appeal.

Amazon continually innovates to enhance its value proposition and remain at the forefront of consumers' minds. Prime membership, with its array of benefits encompassing streaming services, grocery delivery, and exclusive discounts, exemplifies Amazon's commitment to customer-centricity. Additionally, integration with Alexa-enabled devices and the expansion of Prime services contribute to Amazon's multifaceted value proposition.

For brands contemplating their presence on Amazon, the imperative is clear: adapt or risk obsolescence. While concerns regarding brand control and channel cannibalization are valid, the reality is that consumers increasingly gravitate toward Amazon for their purchasing needs.

By abstaining from Amazon, brands relinquish control over their brand narrative and risk exposure to unauthorized resellers and pricing discrepancies. Therefore, establishing a presence on Amazon is not merely a matter of cannibalizing existing channels but rather a strategic imperative for safeguarding brand integrity and maximizing sales potential.

Leading brands recognize Amazon as a pivotal avenue for extending their reach and bolstering their digital presence. Given Amazon's logistical prowess, consumer preference, and value-centric offerings, brands can ill afford to overlook its significance as a sales channel.

3.2.3 The decline of Alibaba



Figure 29- Alibaba's stock chart over the past 10 years (Source: FinecoBank, 13 April 2024)

In the tumultuous realm of e-commerce, few companies have commanded as much attention, or suffered as dramatic a decline, as Alibaba. Once hailed as Asia's most valuable company, Alibaba's fortunes have taken a sharp downturn, culminating in a precipitous drop of 75% in its stock value from its peak in 2020 *(Figure 29)*. This plunge, reported by Bloomberg, has not only dragged its valuation to historic lows but also brought its market capitalization on par with that of its competitor, PDD Holdings Inc *(Figure 30)*. This marked downturn in Alibaba's financial standing is not merely a result of market fluctuations; rather, it is intricately tied to a series of tumultuous events that have rocked the company's foundation.



Figure 30- PDD Holdings catches up to Alibaba in market cap (Source: Financial Times, 2 January 2024)

The first blow to Alibaba's market capitalization came between 2021 and 2022, as the Chinese government launched a relentless campaign against the country's Big Tech firms, including Alibaba. This crackdown, aimed at reining in perceived monopolistic practices and exerting greater control over the tech sector, sent shockwaves through Alibaba's operations and investor confidence.

However, the roots of Alibaba's troubles run deeper than regulatory scrutiny alone. The company's struggles were further underscored by its founder, Jack Ma, who, in an internal blog post, issued a rallying cry for reform late last year. Despite Ma's reassurances that Alibaba would adapt and thrive, his message only served to highlight the company's loss of direction. This loss of direction is reflected in Alibaba's declining market capitalization, dwindling employee morale, and a series of strategic U-turns that have left the company reeling.

One of the primary challenges facing Alibaba is its inability to effectively combat aggressive new competitors and capitalize on its strengths in domestic e-commerce. Despite initial optimism surrounding its ambitious restructuring plan, Alibaba's efforts to unlock shareholder value and stimulate growth have faltered. Plans to spin off key business units, such as its cloud division, were met with internal resistance and ultimately abandoned, further exacerbating the company's sense of disarray.

The departure of key executives, including former CEO Daniel Zhang, and internal power struggles have only compounded Alibaba's woes. To regain control, new CEO Eddie Yongming Wu has taken direct control of the company's core e-commerce business. However, challenges persist, particularly in the face of intensifying competition and shifting consumer preferences.

To revive its fortunes, Alibaba must undertake a radical reimagining of its business model and strategic priorities. Central to this effort is a renewed focus on its e-commerce segment, including Taobao and Tmall, which has faced significant challenges in recent years. Under Wu's leadership, Alibaba is prioritizing user-centric initiatives aimed at revitalizing its e-commerce ecosystem and driving innovation through AI.

Additionally, Alibaba must address the stagnation of its cloud computing business, which has struggled to sustain its growth momentum. While the company has made significant investments in cloud infrastructure, it faces increasing competition and regulatory uncertainty. To chart a path forward, Alibaba must leverage emerging technologies such as AI and IoT while navigating geopolitical challenges.

Despite the formidable obstacles ahead, Alibaba remains well-positioned to weather the storm. With substantial free cash flow and a commitment to returning capital to shareholders, the company has the resources necessary to fund its recovery efforts. However, success will ultimately hinge on Alibaba's ability to adapt to a rapidly evolving landscape and regain its status as a global e-commerce powerhouse.



Figure 31- Alibaba's stock chart vs Amazon's stock chart, over the past 10 years (Source: FinecoBank, 13 April 2024)

3.3 ENTERTAINMENT

3.3.1 The last five years of Netflix



Figure 32- Netflix's stock chart vs Amazon's stock chart, over the past 10 years (Source: FinecoBank, 14 April 2024)

Netflix, the American streaming behemoth, has marked a significant trajectory in the digital entertainment landscape. Founded on August 29, 1997, by Reed Hastings and Marc Randolph, Netflix commenced its operations as an online DVD and video game rental service. However, 2008 marked a pivotal juncture for the company with the introduction of the groundbreaking on-demand streaming service based on a monthly subscription model. Since then, Netflix embarked on a transformative journey, evolving from a mere distributor to a global content producer.

This commitment to direct production culminated in 2013 with Netflix's foray into content creation, leading to the inception of hits like "House of Cards." This innovative approach facilitated Netflix's rapid global expansion, reaching a subscriber count of approximately 250 million.

Nevertheless, Netflix's journey has not been devoid of challenges. The escalating competition from platforms such as Amazon Prime Video and Disney+ posed a significant hurdle for the company. In 2022, Netflix experienced a loss of 200,000 subscribers, a decline coinciding with the Federal Reserve's interest rate hikes to combat inflation. These factors contributed to a

depreciation of Netflix's stock value, which plummeted to $162.71 in May of that year. *(Figure 32)*

In response to these challenges, Netflix implemented a series of strategic measures. Among these, password-sharing limits and the introduction of an ad-supported service contributed to a resurgence in subscribers and revenues. By December 2023, the company recorded a market capitalization of $213.04 billion, with shares closing at $486.76 on the Nasdaq.

The fourth quarter of 2023 proved particularly noteworthy for Netflix. The company registered a growth of 13.1 million new subscriptions, surpassing both analyst and board estimates. This elevated the total subscriber count to 260.28 million, a 12% increase from 2022. Concurrently, revenues surged to $8.8 billion, marking a 12.5% year-over-year increase.

Looking ahead, Netflix anticipates double-digit revenue growth in 2024, projecting a 13% increase in the first quarter. The company has also revised its operating margin forecasts upwards, expecting a range between 22% and 24%. These optimistic projections are fueled by the growing acceptance of the ad-supported service, chosen by 40% of new subscribers in available markets.

In conclusion, despite market fluctuations and challenges, Netflix continues to set the pace in the streaming world. With a strategy centered on innovation and market adaptability, the company is positioned to maintain and bolster its leadership in the digital entertainment sector.

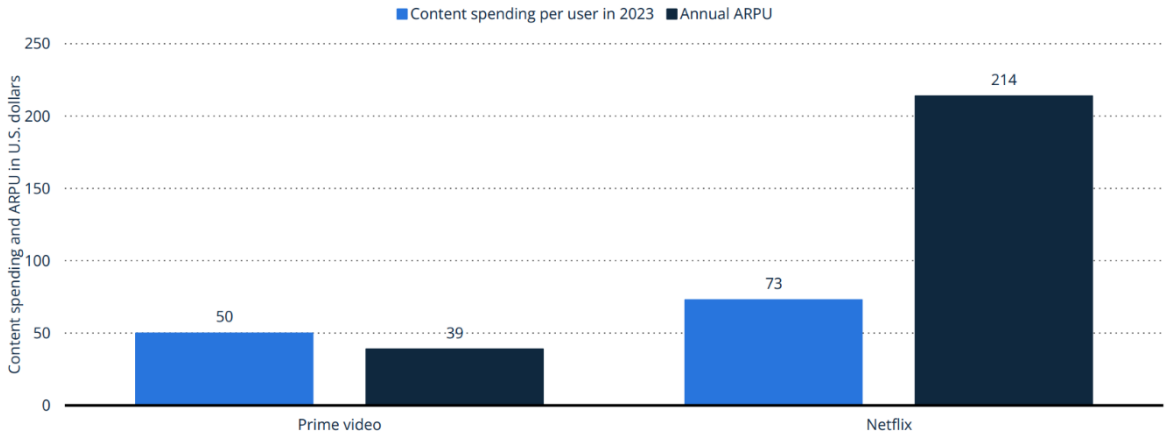


Figure 33- Estimated content spending per user and annual revenue per user (ARPU) of Netflix and Amazon Prime Video in 2023 (in U.S. dollars) (Source: Statista, 10 January 2024)

3.3.2 Take-Two Interactive and expectations for GTA 6



Figure 34- Take-Two Interactive's stock chart, over the past 10 years (Source: FinecoBank, 14 April 2024)

Take-Two Interactive has maintained a significant presence in the video game industry, with its stock showcasing remarkable performance over the years. The company's stock surged by an impressive 122.7% in 2017, driven primarily by the enduring success of its flagship game, Grand Theft Auto V (GTA V). Despite the typical front-loaded nature of video game sales, GTA V displayed an unprecedented pattern of increasing sales annually since its 2013 debut. By 2017, the game had shipped over 85 million units and ranked as the seventh best-selling game in the U.S., demonstrating the remarkable resilience of its revenue-generating capabilities.

In 2023, Take-Two's stock gained 55% *(Figure 34)*, outpacing both the S&P 500 and the Nasdaq Composite. This outperformance was attributed to the company's promising upcoming release slate, despite an industry-wide spending slowdown. Despite challenges such as sluggish consumer spending and product launch delays, Take-Two remained optimistic about its fiscal 2024 prospects. The company projected sales approaching $8 billion for 2024, indicating a 40% year-over-year increase and signaling its intent to rival industry giants like Electronic Arts in annual sales. *(Figure 35)*

The anticipation surrounding Take-Two's future releases was further heightened in 2024. Speculations and rumors circulated regarding the timing of the next blockbuster video game release, Grand Theft Auto VI (GTA VI). While initial announcements suggested a 2025 debut, subsequent reports hinted at potential delays to 2026. Analysts, however, remained confident in

a 2025 release, noting the company's recent advancements in game development technologies, including artificial intelligence.

The long-awaited GTA VI trailer release further fueled market excitement. The trailer showcased a Bonnie and Clyde-inspired duo navigating a fictional rendition of Miami, named "Vice City," a nod to a previous game installment. Industry expectations for GTA VI are exceptionally high, with rumors suggesting it could become the most expensive game ever developed, with a speculated budget reaching up to $2 billion.

The potential financial impact of GTA VI's release is substantial. Analysts project that a 2025 release could align with Take-Two's guidance of approximately $8 billion in bookings for fiscal year 2025, with growth expected in 2026. Despite the absence of a specific release date, the trailer has already garnered around 60 million views on YouTube, underscoring the immense public interest and anticipation surrounding the game.

In conclusion, Take-Two Interactive stands at a pivotal juncture, with GTA VI poised to potentially redefine industry standards upon its release. The game's success could propel Take-Two to new heights, reaffirming its position as a key player in the video game industry. However, the company's stock trajectory will largely depend on its ability to meet or exceed the lofty expectations set by its upcoming game releases. As investors await the game's release and its subsequent financial impact, continued volatility is anticipated, making it crucial to monitor developments closely.

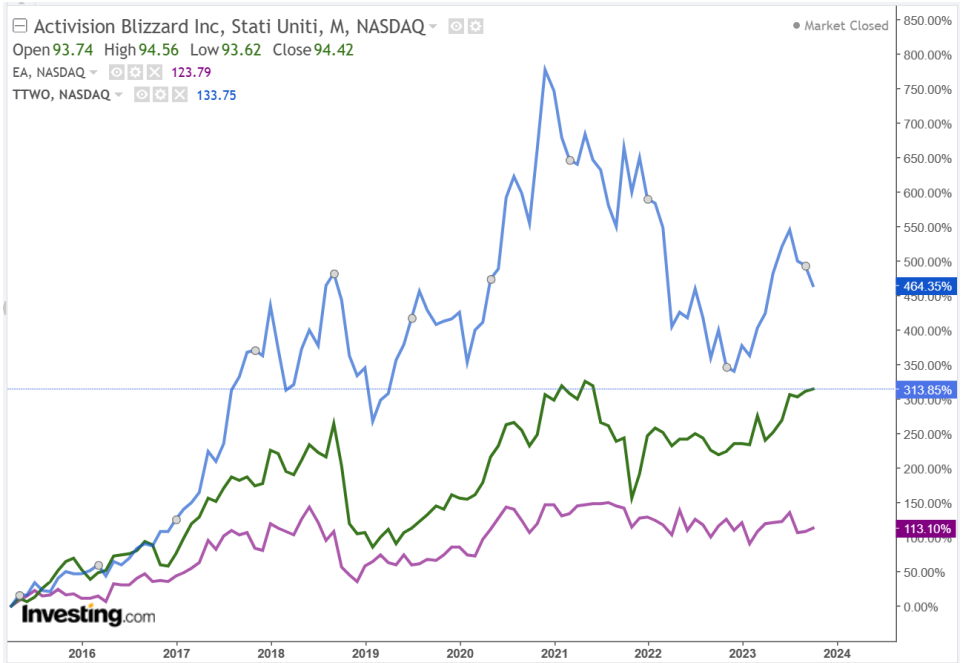


Figure 35- TTWO vs Activision vs EA, over the past 10 years (Source: Investing.com, 14 April 2024)

3.4 TRAVEL AND LUXURY

3.4.1 Booking Holdings

The COVID-19 pandemic instigated an unprecedented disruption in the global travel industry, leading to an almost complete cessation of international travel. Countries worldwide implemented stringent border controls, airlines suspended their operations, and international travel advisories were prominently displayed. Data from the United Nations World Tourism Organization (UNWTO) underscores this dramatic impact, indicating a staggering 74% decline in international tourist arrivals in 2020 *(Figure 36)*. This decline equated to a loss of one billion international arrivals, causing an estimated economic setback of about $2 trillion globally. *(Figure 37)*

The ensuing aftermath of the pandemic reshaped the global tourism landscape fundamentally. The repercussions manifested in widespread unemployment, the closure of numerous travel firms and airlines, and a sharp decline in ancillary sectors such as hospitality, dining, and retail. Iconic tourist destinations, usually bustling with activity, fell into an eerie silence.

In this challenging environment, the resilience and adaptability of companies became crucial in determining their survival and recovery prospects. One such notable entity is Booking Holdings, the world's leading online travel agency. Despite the adversities, Booking Holdings demonstrated remarkable resilience, reflecting its robust business model and strategic adaptability.

Booking Holdings Inc., formerly known as The Priceline Group Inc., provides online booking services for travel, dining, and related services. Through its online travel agencies, the company connects consumers seeking reservations with travel service providers worldwide. It offers consumers a variety of accommodation options, including hotels, bed and breakfasts, hostels, apartments, vacation homes, and other properties, through its websites Booking.com, priceline.com, and agoda.com. Other brands under the company's umbrella include KAYAK, Rentalcars.com, and OpenTable, Inc.



Figure 36- Booking Holdings's stock chart, over the past 10 years (Source: FinecoBank, 14 April 2024)

The company showcased a commendable recovery trajectory post-pandemic. Its operational performance in Q2 2023 stood out, registering an operating income of $1.67 billion. This figure not only surpassed the pre-pandemic benchmarks of $1.25 billion recorded in 2019 but also marked a notable improvement from Q2 2022, which reported $1 billion.

Furthermore, in Q1 2023, the company's Board of Directors displayed confidence in its prospects by authorizing a substantial share repurchase program amounting to approximately $24 billion. This strategic move signaled Booking Holdings' commitment to enhancing shareholder value and its confidence in generating sustained profitability in the forthcoming quarters. Management's affirmation of completing the share repurchases within four years from the program's initiation further underscores the company's optimistic outlook.

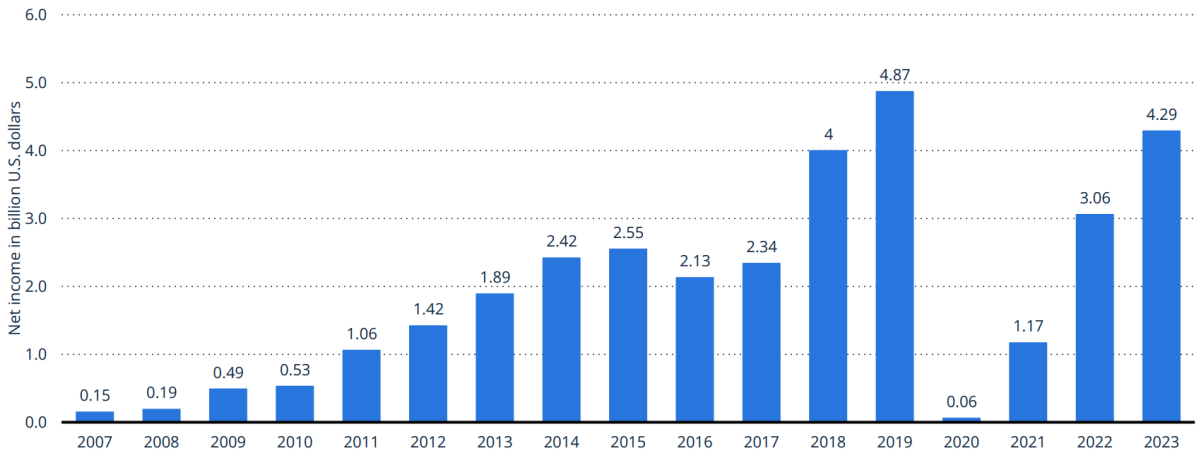


Figure 37- Net income of Booking Holdings worldwide from 2007 to 2023 (in billion U.S. dollars) (Source: Statista, 1 March 2024)

3.4.2 LVMH and luxury goods



Figure 38- LVMH's stock chart, over the past 10 years (Source: FinecoBank, 15 April 2024)

The luxury industry has historically demonstrated remarkable resilience in the face of economic downturns, with LVMH Moët Hennessy Louis Vuitton serving as a prime example of this enduring strength. Despite the challenging economic landscape triggered by the COVID-19 pandemic, LVMH exhibited notable resilience, underscoring its ability to navigate through adversity while maintaining operational excellence. *(Figure 38)*

In 2020, LVMH reported revenues of €44.7 billion, marking a 17% decline compared to the previous year. Organic revenues mirrored this trend, decreasing by 16% year-on-year. Despite these setbacks, LVMH demonstrated considerable resilience in an economic environment profoundly disrupted by the pandemic. The suspension of international travel and temporary closures of the Group's stores and manufacturing sites in most countries presented significant challenges. However, the Group managed to limit its organic revenue decline to only 3% in the fourth quarter, indicating a substantial improvement compared to the preceding nine months.

Notably, the Fashion & Leather Goods segment registered double-digit growth in both the third and fourth quarters, even as Europe continued to grapple with the crisis. The United States witnessed a robust recovery, while Asia emerged as a growth engine for the Group.

Despite the revenue decline, LVMH's recurring operating profit stood at €8.3 billion in 2020, representing a modest 28% decrease year-on-year. This resilience was further emphasized by

the return to growth in the second half of the year, with a 7% increase compared to the first half. The Group's operating margin reached 18.6%, and its share of net profit amounted to €4.7 billion, down by 34%.

Bernard Arnault, Chairman and CEO of LVMH, acknowledged the challenging environment, emphasizing the Group's focus on safeguarding the health and safety of its employees and clients. He highlighted the agility and creative energy demonstrated by the Group's Maisons in adapting to the evolving digital landscape, thereby reinforcing their desirability. Additionally, LVMH's commitment to innovation, sustainability, and inclusion remained unwavering.

The resilience of the luxury market during economic recessions is not a new phenomenon. According to Bain & Co., the luxury market's consumer base is expanding, with an estimated 400 million consumers in 2022, projected to grow to 500 million by 2030. Amid economic uncertainties, wealth concentration often accelerates, with the super-rich accounting for a significant portion of global wealth.

Interestingly, Bain & Co. and Altagamma reported an increase in luxury product purchases, with a notable rise of over 20% in the past year. Products such as handbags, jewelry, and watches have been positioned as investment assets, appreciating in value by 4.5% to 6.5% annually, according to a Deloitte and Credit Suisse report.

In the Chinese market, sales of Louis Vuitton, Christian Dior, and Celine – brands under the LVMH umbrella – grew by over 30% in the first quarter of the year compared to the same period in 2022. The sales increase can be attributed to Chinese consumers accumulating savings during lockdowns. According to Bank of America, family deposits in China increased by 7.9 trillion yuan, approximately $1.15 trillion at the current exchange rate, last year.

3.4.3 Ferrari

In the competitive landscape of luxury automobiles, Ferrari stands as a testament to the enduring appeal of exclusivity and brand strength. *(Figure 39)*

Ferrari's financial performance has consistently underscored its strong market position. In 2020, the company reassured investors of its optimistic growth trajectory, underpinned by a robust order book extending through 2025. Moreover, the company's adjusted EBITDA for 2023 was reported at €2.28 billion, with a projected increase to at least €2.45 billion for the subsequent year.



Figure 39- Ferrari's stock chart, over the past 10 years (Source: FinecoBank, 15 April 2024)

Since its spin-off from Fiat in 2016, Ferrari has strategically positioned itself as a high-priced luxury brand rather than a conventional automotive manufacturer. This positioning has been reinforced by Ferrari's relentless focus on profitability, extended order books, and consistent sales growth, placing it alongside esteemed luxury brands like Hermes. Furthermore, Ferrari's intentional restraint in the sales of its Purosangue SUV underscores its commitment to preserving the brand's core identity and exclusivity.

At the core of Ferrari's pricing strategy lies its unparalleled ability to command premium prices through scarcity and desirability. While mass-market manufacturers prioritize volume, Ferrari adopts a 'less is more' approach. For instance, in 2023, Volvo Cars outsold Ferrari by approximately 52 times in terms of volume. However, Ferrari's deliberate limitation of production to 13,700 units ensured a profit margin significantly higher than its larger counterpart.

This scarcity-driven strategy allows Ferrari to maintain a demand-supply imbalance, sustaining its high pricing standards and exceptional profit margins. As CEO Benedetto Vigna aptly articulated, Ferrari will always deliver one car less than the market demand, reinforcing the brand's unwavering commitment to exclusivity.

Ferrari's enduring appeal is further amplified by its rich racing heritage, Italian craftsmanship, and relentless pursuit of technological innovation. Each Ferrari model is marketed as a pinnacle of design and engineering, resonating deeply with a niche demographic of affluent consumers

who prioritize these attributes. Moreover, Ferrari's cultivation of an exclusive community of owners and enthusiasts through bespoke customer experiences fosters brand loyalty and sustains premium pricing.

3.5 AUTOMOBILES

In 2023, the automotive industry faced a myriad of challenges, including declining EV sales, labor strikes in U.S. factories, supply chain disruptions, and rising material costs. Despite these obstacles, the sector displayed resilience, with combined car and commercial vehicle sales exceeding 90 million units, marking a notable double-digit growth rate. India notably emerged as the fourth-largest auto market for light vehicles.

Research conducted by Marketsandmarket offers insights into an industry poised for transformative changes, particularly in connectivity, electrification, and sustainability. Despite a slowdown, EV sales are projected to rise with a 16% year-over-year growth in the U.S. and an 11.1% increase in China. China continues to dominate the global EV market, contributing 60% to worldwide sales and expected to capture 12% of the European EV market by 2025.

The shift towards online car sales is accelerating, with global online car sales expected to reach 7.1-7.3 million units by 2024. North America leads this trend, capturing over one-third of the global market, while the Asia-Pacific region is rapidly catching up. Luxury automotive trends are also evolving, with SUVs becoming the ultimate symbol of affluence and EVs projected to account for 15-17% of luxury car sales by 2024.

Infrastructure supporting EVs is expanding, with global charging stations projected to reach 2 million in 2024. China is a significant player in this expansion, with its fast-charging technologies expected to triple by the same year. The global used car market is experiencing substantial growth, with sales expected to increase by 5-6% in 2024, and the Business-to-Consumer (B2C) segment gaining prominence.

5G technology is set to revolutionize the automotive industry, enhancing automation, safety, and efficiency. Major players are incorporating 5G in their smart factories to improve manufacturing processes and in-car experiences. Additionally, generative AI is making strides across the automotive sector, impacting vehicle design, navigation, predictive maintenance, and quality control, promising to enhance safety, efficiency, and personalization.

Lastly, smart manufacturing, gigacasting, digital twins, and the impending impact of Euro-7 norms are among the trends poised to shape the industry in 2024, ushering in efficiencies and redefining operational strategies.

3.5.1 Tesla and competition with BYD



Figure 40- Tesla's stock chart, over the past 10 years (Source: FinecoBank, 15 April 2024)

In recent times, the electric vehicle (EV) market has witnessed a seismic shift in dynamics, with China's domestic manufacturers emerging as formidable competitors to Western giants like Tesla. BYD, backed by Warren Buffett, has notably overtaken Tesla as the world's largest selling EV maker, signaling a new era in the industry's landscape.

Founded by Wang Chuanfu, BYD's origins trace back to battery production for mobile phones in the 1990s. By 2003, it had transitioned into the automotive sector and has since solidified its position as China's premier car brand and a major EV battery producer *(Figure 41)*. This evolution highlights BYD's adaptability and foresight in aligning with the global push towards electric mobility.

In the fourth quarter of 2023, BYD's ascendancy reached a significant milestone, outselling Tesla with approximately 530,000 units compared to Tesla's 485,000. This achievement is not merely a testament to BYD's manufacturing prowess but also its strategic positioning in offering high-tech, low-cost EVs targeting mass markets.

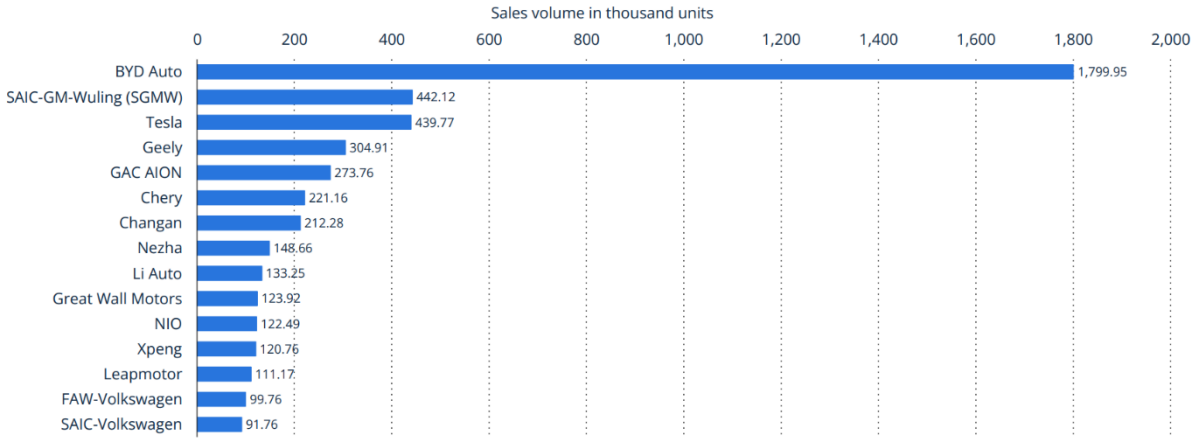


Figure 41- Top fifteen new energy passenger car companies in China in 2022, based on sales volume (in 1,000 units) (Source: Statista, 29 February 2024)

Price remains one of BYD's strongest competitive advantages. Its vehicles, such as the BYD Dolphin priced at around $33,000 in Britain, significantly undercut competitors like the VW ID.3, offering almost a third less in cost. Furthermore, BYD has demonstrated a commitment to further expanding its global footprint, with plans for a European factory in Hungary and exploration of potential sites in Mexico.

However, it's essential to note the unique challenges BYD faces in entering the U.S. market due to regulatory constraints, particularly the Inflation Reduction Act, which excludes batteries and components from Chinese manufacturers from the U.S. supply chain. This restriction has limited BYD's presence in the U.S., focusing its expansion efforts predominantly on Europe.

Tesla, on the other hand, continues to hold a significant market share, leveraging its global brand power and innovative technologies. Despite BYD's recent successes, Tesla's charging network and software infrastructure remain unparalleled, offering a distinct advantage in the premium market segment.

UBS forecasts that Chinese manufacturers, led by BYD, Geely, SAIC, NIO, and Great Wall Motors, are poised to capture one-third of the global EV market by 2030, posing a considerable threat to traditional Western automakers. This projection underscores Europe as the primary battleground for Chinese EVs, driven by the significant price advantage these manufacturers hold.

3.5.2 O'Reilly Automotive and AutoZone

The automotive industry has experienced transformative shifts, with challenges such as tepid growth and semiconductor chip shortages reshaping the market landscape. However, within this evolving environment, auto part retailers have showcased resilience and sustained growth, driven by exceptional execution and market share gains.

Following the onset of the COVID-19 pandemic, the auto parts retail sector witnessed accelerated revenue growth. Consumers, directing stimulus funds towards vehicle maintenance and opting for private transportation, fueled this surge. Nevertheless, real (inflation-adjusted) revenue growth is now showing signs of stabilizing, a trend attributed to inflation moderation in response to aggressive rate hikes by the Federal Reserve.

The semiconductor chip shortage has further influenced the industry dynamics, leading to diminished new car production. This situation has steered consumers towards purchasing used cars and extending the lifespan of their existing vehicles. As a result, there has been a notable increase in miles driven, a trend that is beneficial for replacement auto part retailers.

Prominent players in this sector, O'Reilly Automotive and AutoZone, have demonstrated robust financial performance and market resilience. Over the past decade, O'Reilly Automotive's stock has surged by 678%, while AutoZone's has risen by 498%. Both companies operate expansive networks of stores, serving both DIY and commercial customers. Their focus on aftermarket parts is pivotal, especially with the average age of vehicles increasing and consumers driving more miles. *(Figures 42-43)*

O'Reilly and AutoZone's business models thrive on the wear and tear experienced by vehicles. Given the indispensable role of automobiles in daily life, from commuting to work to managing household errands, these companies have established themselves as relatively recession-proof entities. This inherent stability ensures consistent demand trends, irrespective of economic fluctuations, allowing both firms to generate significant profits and cash flows.

In their recent fiscal years, O'Reilly reported a free cash flow of $2 billion, while AutoZone recorded $2.1 billion, highlighting their financial robustness. Although neither company pays dividends, their proactive share buyback strategies have augmented shareholder value. Over the past five years, O'Reilly reduced its share count by 26%, and AutoZone's decreased by 30%, enhancing earnings per share and amplifying shareholders' ownership stakes.

AutoZone, Inc. operates as a prominent retailer and distributor of automotive replacement parts and accessories across the Americas. With an expansive network of approximately 7,140 stores across the United States, Mexico, and Brazil, the company offers a comprehensive product line tailored to a diverse range of vehicles. Additionally, AutoZone's ALLDATA and E-commerce segments further complement its core retail operations, providing diagnostic, repair, and direct sales solutions to customers.



Figure 42- AutoZone's stock chart, over the past 10 years (Source: FinecoBank, 15 April 2024)

Similarly, O'Reilly Automotive, Inc. specializes in automotive aftermarket parts, tools, supplies, equipment, and accessories in the United States. Operating over 6,157 stores across 48 states, Puerto Rico, and Mexico, O'Reilly's extensive product offerings and enhanced services solidify its position in the market, catering to the evolving needs of both DIY enthusiasts and professional service providers.



Figure 43- O'Reilly Automotive's stock chart, over the past 10 years (Source: FinecoBank, 15 April 2024)

3.6 TRANSPORTATION AND DELIVERY

3.6.1 The Success of Uber



Figure 44- Uber's stock chart, over the past 5 years (Source: FinecoBank, 16 April 2024)

Uber, the renowned disruptor in the online taxi industry, was conceived from the personal experiences of its founders, Garrett Camp and Travis Kalanick, who encountered difficulties hailing a taxi in Paris. This challenge led to the birth of Uber Cab in San Francisco in 2010, marking the onset of a transformative era in transportation services. Since its inception, Uber has evolved to cater to a diverse range of clientele, offering inclusive services tailored to meet specialized mobility needs.

In addition to its core ride-sharing platform, Uber has expanded its business horizon by introducing Uber Eats in 2014. Originally launched as UberFRESH and later rebranded, Uber Eats operates in over 45 countries, providing users with a platform to explore various cuisines and restaurants within their vicinity. This diversification was further extended with the introduction of Uber Freight, a digital platform designed to streamline the freight transportation process by connecting shippers and carriers.

Financially, Uber's growth trajectory has been remarkable, with gross bookings reaching an all-time high of $37.6 billion in 2023, reflecting a 22% increase from the previous year. This robust performance is driven by its diversified business segments, with Mobility contributing $5.54

billion (55.80% of total revenue), Delivery generating $3.12 billion (31.20%), and Freight accounting for $1.28 billion (12.80%).

Despite the adverse impact of the Covid-19 pandemic, which led to a temporary decline in gross bookings to $10.22 billion, Uber demonstrated resilience by rebounding strongly and resuming its growth trajectory. The company's revenue has grown nearly tenfold from $3.85 billion in 2016 to $37.3 billion in 2023, corresponding to an annual compounded growth rate of 38.30%.

From an operational perspective, Uber has exhibited disciplined cost management, reducing selling, general, and administration expenses as a percentage of revenue from 67% in 2016 to 15.50% in 2023. Research and development expenses also decreased from 22.50% to 7.90% over the same period, highlighting the company's efficiency in resource allocation.

In terms of financial stability, Uber maintains a solid balance sheet with shareholders' equity standing at $11.25 billion and cash and cash equivalents totaling $4.68 billion. With a manageable long-term debt of approximately $9.50 billion due between 2025 and 2030, Uber's positive operating income of $1.11 billion in 2023 positions the company favorably to meet its financial obligations.

3.6.2 UPS during the pandemic



Figure 44- UPS's stock chart, over the past 10 years (Source: FinecoBank, 16 April 2024)

The global pandemic presented unprecedented challenges to various sectors, with logistics and shipping being no exception. However, United Parcel Service (UPS), a global leader in package delivery services, exhibited remarkable resilience and agility in navigating these turbulent times. *(Figure 44)*

In the first quarter of 2021, UPS demonstrated robust financial growth, with domestic revenues surging by 22.3% to $14.0 billion, compared to $11.5 billion in the same period the previous year. This impressive growth was primarily driven by small and medium-sized businesses. Concurrently, international segment revenues saw an even more substantial increase of 36.2%, reaching $4.6 billion from $3.4 billion the previous year. This stellar performance culminated in total revenues of $84.6 billion for the company.

Earnings per share (EPS) for the first quarter stood at $5.47, reflecting an astounding 393% increase from the previous year. On an adjusted basis, the EPS increased by 141%. This growth was not without external boosts; the company benefited from a net gain of $2.4 billion, or $2.70 per fully diluted share. This gain was a result of the enactment of the American Rescue Plan Act of 2021, signed into law on March 11, 2021. This legislation provided relief to certain multi-employer pension plans, thereby reducing UPS's pension liability by $6.4 billion.

The consolidated operating margin for the first quarter was $2.8 billion, marking a substantial 158% increase compared to the same period in 2020. This performance underscores UPS's efficient operational management during a challenging economic environment.

Amid its impressive financial results, UPS announced its intention to sell UPS Freight to an affiliate of TFI International Inc. This transaction, valued at $800 million before adjustments, was completed in the second quarter of 2021. UPS Freight employees transitioned to TFI, while UPS retained historical pension assets and liabilities. Despite this divestiture, UPS customers continued to benefit from UPS Ground with Freight Pricing, ensuring uninterrupted service.

In terms of capital allocation, UPS reaffirmed its commitment to a $4 billion plan. During the first quarter of 2021, the company repaid $1.5 billion in long-term debt, targeting a total repayment of $2.5 billion by year-end. As for share repurchases, UPS currently has no plans in this regard.

The leadership transition at UPS also played a pivotal role in the company's performance. Carol Tomé, who assumed the role of CEO on June 1, 2020, brought her extensive experience as the former CFO of Home Depot. Under her leadership, UPS witnessed increased operating margins

and innovative measures tailored to customer needs. Tomé's proactive approach towards competition, particularly against giants like Amazon, has been instrumental.

Furthermore, UPS's commitment to healthcare transportation has been noteworthy, particularly its role in vaccine distribution. The company's meticulous tracking and delivery systems for vaccine shipments achieved an impressive 99.9% on-time delivery rate, underscoring its reliability and efficiency.

3.7 HEALTH AND NUTRITION

3.7.1 The collapse of HelloFresh



Figure 46- HelloFresh's stock chart, over the past 5 years (Source: FinecoBank, 16 April 2024)

The meal-kit industry has witnessed remarkable growth, particularly during the pandemic, as consumers increasingly turned to convenient and home-cooked meal solutions. Among the leading players in this sector is HelloFresh, a German-based meal-kit company that experienced significant success during the pandemic. However, as the global economy grapples with rising inflation, HelloFresh has found itself facing challenges that have impacted its financial projections and market valuation.

In early March, HelloFresh revised its 2024 core earnings forecast for the second time in just five months, citing tougher market conditions. The company withdrew its mid-term revenue and profit guidance, which previously aimed for revenues of €10 billion ($11 billion) and

adjusted core profit (AEBITDA) of €1 billion by 2025. The company attributed this revision to higher marketing expenses and the costs associated with expanding its ready-to-eat business.

For the fiscal year 2024, HelloFresh now anticipates adjusted earnings before interest, taxes, depreciation, and amortization (EBITDA) to be in the range of €350-400 million ($383-$437 million). This projection is 29% below analysts' most optimistic forecasts. Following this announcement, HelloFresh's shares experienced a significant decline, dropping by 24% in premarket trade. *(Figure 45)*

Analysts have expressed concerns about HelloFresh's guidance reliability, with J.P. Morgan noting the company's recent poor track record in providing accurate guidance. This uncertainty has led investors to approach the stock with caution until there is an improvement in the company's results.

The company's challenges stem from increased marketing costs to retain customers as economies reopen and inflation surges. Despite being a beneficiary of the pandemic-driven shift towards home-cooked meals and online food delivery, HelloFresh has had to navigate elevated customer acquisition costs, which are expected to persist into 2024.

Further compounding these challenges, HelloFresh's shares plunged by 42% in a single session, marking their worst-ever trading day. Analysts at UBS described the company's outlook as "far worse" than anticipated, highlighting the persistent customer acquisition costs that are expected to impact the company's growth and profitability in the coming years.

Deutsche Bank echoed this sentiment, labeling HelloFresh's 2024 outlook as "disappointing" and emphasizing the removal of previously announced targets for 2025 due to a "very different operating environment."

3.7.2 Nestlè and primary goods during economic crises

The resilience of basic goods during economic downturns becomes particularly evident as households adapt their consumption patterns. While spending on luxury and discretionary items tends to decline, the consumption of essential items like food, medicine, and hygiene products remains stable. These goods, serving as necessities, demonstrate a level of resilience that positions companies operating in these sectors favorably during economic crises. Often referred to as "safe haven" assets, these basic goods provide stability in times of uncertainty, offering investors a refuge from market volatility.

Transnational food and beverage companies have shown adaptability and resilience during the COVID-19 pandemic. They have capitalized on their intrinsic strengths, leveraging them to navigate the crisis effectively. Nestlé, a global leader in the food and beverage sector, represents an illuminating case study in this context.



Figure 47- Nestlé 's stock chart, over the past 10 years (Source: FinecoBank, 16 April 2024)

Nestlé's response to the pandemic was both timely and strategic, reflecting its commitment to all stakeholders. Alain Riesterer, the company's Technical and Production Director, emphasized Nestlé's commitment to maintaining uninterrupted operations to ensure continuous food supply. Despite the challenges posed by the pandemic, Nestlé's operations continued seamlessly, without any shutdowns.

To safeguard its workforce, Nestlé implemented rigorous hygiene protocols across its global facilities. These measures included mandatory temperature checks, enhanced handwashing practices, and the adoption of social distancing measures. Implementing an A and B team structure further reduced employee contacts, minimizing the risk of cross-contamination.

Financially, Nestlé's performance during the pandemic highlighted its resilience and market strength *(Figure 47)*. While numerous industries grappled with the challenges of economic contraction, Nestlé maintained its operations and proceeded with planned maintenance and capital investment initiatives. This consistent commitment to investment and growth amidst uncertainty underscores Nestlé's confidence in its long-term strategy and market position.

However, while basic goods like those produced by Nestlé serve as safe-haven assets during crises, they may face challenges in achieving long-term growth. As the global economy recovers from the pandemic, consumer preferences may shift towards discretionary spending, potentially impacting the demand for basic goods. Companies like Nestlé will need to adapt to these evolving consumer trends to sustain their growth momentum in the long term.

Nestlé's diversified product portfolio, ranging from basic consumer goods to specialized products, proved instrumental in navigating the complexities of the pandemic. Nestlé's focus on essential consumer goods, which are less susceptible to demand fluctuations during economic recessions, strengthened its market position.

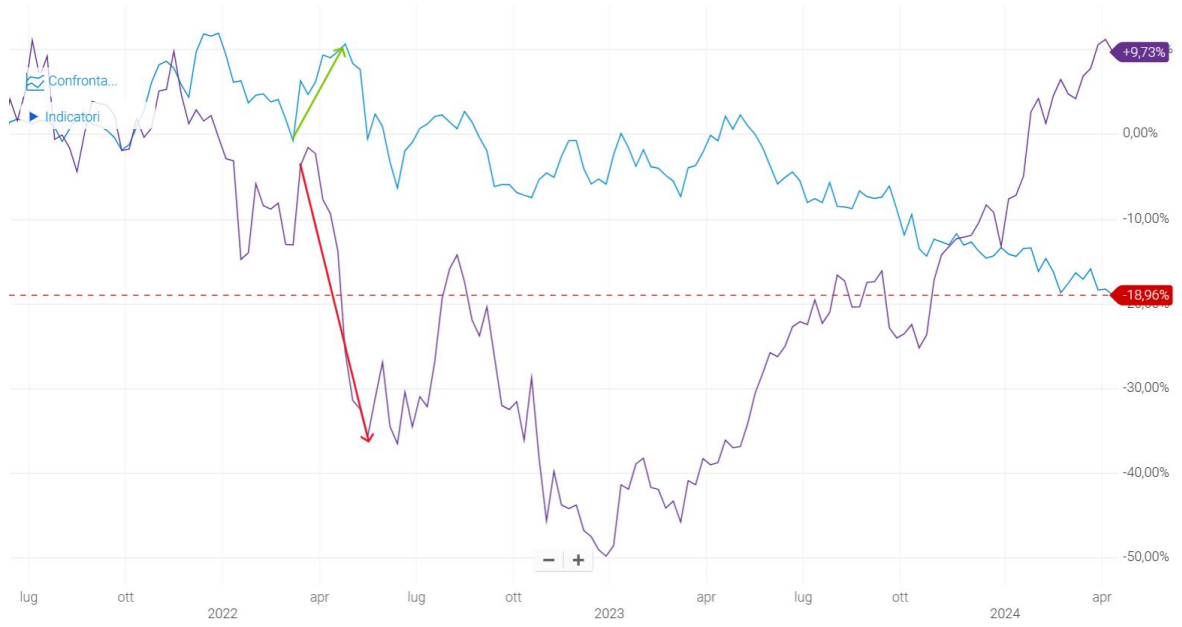


Figure 48- Nestlé vs Amazon, at the onset of the Russia-Ukraine conflict (Source: FinecoBank, 16 April 2024)

Figure 48 highlights how, in March 2022, at the onset of the Russia-Ukraine conflict, Nestlé (in blue) rose, while Amazon (in purple) sharply declined. This occurred because investors opted to invest in a staple good rather than a discretionary one. Subsequently, with the economic recovery, Amazon quickly rebounded, whereas Nestlé gradually declined.

4 ANALYSIS OF THE INVESCO GLOBAL CONSUMER TRENDS FUND

4.1 GENERAL STUDY OF THE FUND

ISIN = LU0052864419 Assets Under management of the Fund (29/02/2024) = 2,456,600,000 USD

4.1.1 Philosophy

The philosophy of the Fund revolves around achieving long-term capital growth by strategically investing in a diversified international portfolio. This portfolio primarily targets companies involved in the design, production, or distribution of products and services that cater to people's leisure activities and discretionary consumer needs. Such sectors encompass automotive companies, home products, durable goods, media, internet, and other consumer-driven industries.

A key component of the Fund's strategy is to allocate at least 70% of its total assets to equity securities of these targeted companies. This equity-focused approach aims to capitalize on the growth potential and earnings quality of these companies, aiming for favorable capital appreciation over time.

Furthermore, the Fund maintains flexibility in its asset allocation, allowing up to 30% of its total assets to be invested in various financial instruments. These may include cash and cash equivalents, money market instruments, and debt securities, including convertible bonds. This flexibility provides the Fund with the agility to adapt to changing market conditions while maintaining liquidity.

The Fund's management adopts a continuous process of identifying companies with high-quality earnings growth and significant potential for capital appreciation. While the Fund has a particular focus on online themes, it is also strategically positioned to capitalize on a post-pandemic return to normal activities, such as travel and entertainment.

4.1.2 The name change: From leisure to consumer trends

Effective from December 6, 2018, the Invesco Global Leisure Fund underwent a name change to the Invesco Global Consumer Trends Fund. Invesco asserts that the new nomenclature more aptly aligns with the fund's positioning as a thematic investment vehicle, reflecting not only discretionary or luxury goods but also broader consumer trends. This change better encapsulates the diverse range of companies in which the fund invests. Importantly, there have been no alterations to the fund's investment objectives. The fund will continue to be overseen by the same management team, adhering to the identical investment process and strategy as before the name change.

4.1.3 Managers

The Invesco Global Consumer Trends Fund is managed by a team of experienced investment professionals with a deep understanding of the consumer sector. The team is led by **Ido Cohen**, who has been with Invesco for over 26 years and has 13 years of experience managing the fund. Cohen is a graduate of the University of Pennsylvania and has a sector focus on consumer, communication services, and technology.

Juan R. Hartsfield is another senior portfolio manager on the team. Hartsfield has been with Invesco for 23 years and has 19 years of experience managing the fund. He is a graduate of the University of Texas and the University of Michigan and has a sector focus on consumer.

Bart Glenn is a senior analyst on the team. Glenn has been with Invesco for 24 years and has 21 years of experience working with the firm. He is a graduate of the University of Kentucky and Tulane University and has a sector focus on consumer.

Greg Holland is a senior client portfolio manager on the team. Holland has been with Invesco for 23 years and has 12 years of experience managing the fund. He is a graduate of Texas A&M University.

The investment team is a part of Invesco's Fundamental Equities Growth Team, which includes 16 tenured experts across market caps and economic sectors.

4.1.4 Costs

Understanding the fees and costs associated with an investment fund is crucial for investors as they directly impact the net return on investment. Below are the details and significance of the various costs associated with the fund:

Fees:

Entry Fee (max) n/a: This indicates that there are no entry fees for investors subscribing to the fund, potentially making the fund more attractive for new investors.

Exit Fee (max) n/a: The absence of exit fees is a benefit for investors looking to redeem their investment, ensuring flexibility without additional costs.

Switch Fee (max) 1.00%: This fee, although capped at 1.00%, represents the cost associated with switching between different share classes of the fund. Investors should consider this when contemplating changes to their investment strategy.

Annual Fees:

Management Fee (max) 1.50%: This is the maximum annual management fee of the fund, covering operational and portfolio management costs. A lower management fee can make the fund more competitive compared to its peer group.

Ongoing Charges:

1.87%: Ongoing charges represent a measure of the recurring costs incurred over time by the fund's subscribers related to the investment operations conducted by the management company. They are calculated as a ratio, expressed as a percentage, between the total ongoing charges and the average NAV (Net Asset Value). This figure includes management, administrative, legal, audit, and custody costs. Performance fees (where applicable) are excluded from this calculation.

In summary, while the fund does not impose entry or exit fees, ongoing charges and the management fee represent the main operational costs for investors. It is essential for investors to carefully evaluate these costs in relation to the potential return and the fund's investment strategy to make informed decisions.

Additionally, the new European Ucits IV regulation stipulates that these ongoing charges metric replaces the more commonly known Total Expense Ratio (TER) in the compilation of Key Investor Information Documents (KIID) for investor disclosure purposes.

4.1.5 Risks

When evaluating the performance and risk of an investment fund, various quantitative indicators provide valuable insights into its historical returns, volatility, risk-adjusted performance, and correlation with benchmark indices. These metrics offer investors a comprehensive view of the fund's performance over different time horizons, assisting them in making informed investment decisions. Below, I delve into these key indicators to assess the risk profile of the investment fund. Unfortunately, I was only able to obtain data for the last three years, which are, of course, affected by the economic crisis caused by the war between Russia and Ukraine.

Return:

+19.00% (1 year): The fund yielded a positive return of 19.00% over the last year.

-32.00% (3 years): Over a three-year period, the fund recorded a loss of 32.00%.

Standard Deviation (STD):

+16.38% (1 year): The annual standard deviation of 16.38% indicates moderate volatility in the fund's returns in the short term.

+20.73% (3 years): A higher standard deviation of 20.73% over a three-year period suggests increased volatility in the medium to long term.

Sharpe Ratio:

+0.88 (1 year): A positive Sharpe ratio of +0.88 suggests that the fund generated returns exceeding the risk-free rate relative to the risk assumed in the short term.

-0.54 (3 years): A negative Sharpe ratio of -0.54 indicates underperformance relative to the risk-free rate per unit of risk over the medium to long term.

Information Ratio:

+0.47 (1 year): The positive Information Ratio of +0.47 suggests that the fund outperformed the benchmark index on a risk-adjusted basis in the short term.

-1.36 (3 years): A negative Information Ratio of -1.36 indicates underperformance relative to the benchmark index per unit of risk over the medium to long term.

Tracking Error:

-0.61% (1 year): A negative Tracking Error of -0.61% indicates lesser deviation from the benchmark index in the short term.

-1.76% (3 years): Over the medium to long term, the Tracking Error increases to -1.76%, suggesting greater deviation from the benchmark index.

Deciles:

6.00 (1 year): A decile of 6.00 suggests relatively good performance compared to peer funds in the short term.

9.00 (3 years): However, over the medium to long term, a decile of 9.00 suggests less competitive performance relative to peer funds over a three-year period.

R-Squared:

68.58 (1 year): An R-squared of 68.58% suggests that approximately 68.58% of the fund's return variability can be explained by variations in the benchmark index in the short term.

85.85 (3 years): Over the medium to long term, the R-squared increases to 85.85%, indicating a stronger correlation with the benchmark index.

Beta:

1.18 (1 year): A Beta of 1.18 suggests that the fund is more volatile than the benchmark index in the short term.

1.88 (3 years): Over the medium to long term, an even higher Beta of 1.88 indicates greater volatility relative to the benchmark index.

Alpha:

-17.70 (1 year): A negative Alpha of -17.70 indicates significantly underperforming relative to expectations based on the risk assumed in the short term.

-6.16 (3 years): Over the medium to long term, the Alpha remains negative but improves to -6.16, suggesting relatively better performance compared to the short term but still falling short of expectations.

4.1.6 Portfolio composition

TOP 10 TITLES:

Company Name	Portfolio Weight	First Purchased
Amazon.com Inc	10.20%	Sep 30, 2009
Meta Platforms Inc Class A	7.86%	May 31, 2012
DraftKings Inc Ordinary Shares - Class A[1]	5.58%	Oct 31, 2020
Uber Technologies Inc	4.58%	May 31, 2019
Microsoft Corp	4.53%	Jul 31, 2023
Netflix Inc	4.34%	Apr 30, 2015
Lowe's Companies Inc[2]	4.02%	Nov 30, 2011
MercadoLibre Inc[3]	3.65%	Apr 30, 2018
Tesla Inc	3.32%	Jul 31, 2022
Advanced Micro Devices Inc[4]	3.21%	Jan 31, 2024

Source: Morningstar, 31 March 2024

[1] DraftKings is a company specializing in online sports betting and fantasy sports.
[2] Lowe's is a chain of home improvement and DIY stores.
[3] MercadoLibre is the largest e-commerce platform in Latin America.
[4] AMD designs and manufactures microprocessors and graphics cards for computers, servers, and embedded devices.

	Sectors	Bottom Var%	Cat Var%
Cyclical	Base Materials	0,07	1,52
	Cyclical consumption	44,45	44,16
	Finance	0,00	3,30
	Real estate	2,06	0,42
Sensitive	Communications Services	27,66	6,99
	Energy	0,00	0,01
	Industry	1,72	3,57
	Technology	19,09	8,79
Defensive	Defensive consumption	2,02	27,64
	Bless you	2,92	3,39
	Public services	0,00	0,21

Figure 49- portfolio exposure (Sector) (Source: Morningstar, 31 March 2024)

Region	Bottom Var%	Cat Var%
North America	83,70	54,67
United Kingdom	0,00	6,17
Developed Europe	2,76	31,10
Emerging Europe	0,41	0,04
Africa/Middle East	1,17	0,13
Japan	2,48	2,60
Australasia	0,00	0,35
Developed Asia	1,02	1,19
Emerging Asia	2,84	2,72
Latin America	5,63	1,03

Figure 50- portfolio exposure (Region) (Source: Morningstar, 31 March 2024)

4.2 CHART AND PERFORMANCE ANALYSIS

4.2.1 From 1994 to the present day

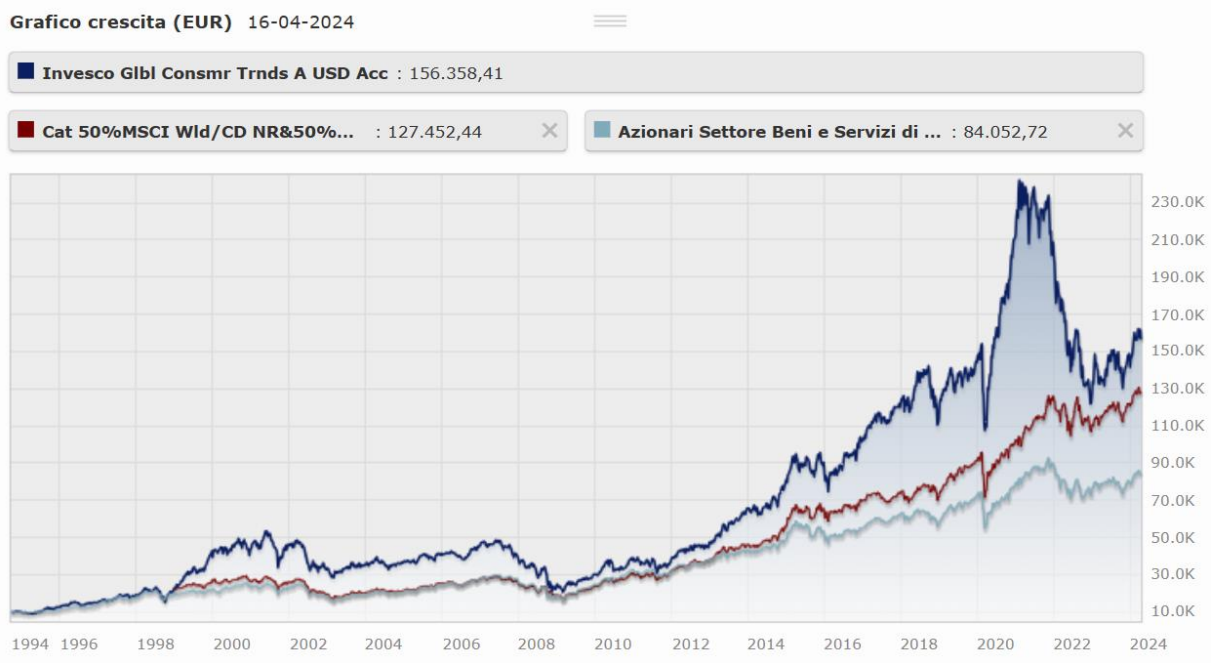


Figure 51- Growth of the fund (blue) vs benchmark (red), from 1994 to the present day (Source: Morningstar, 16 April 2024)

Since its inception, the fund has consistently outperformed its benchmark. To understand the underlying reasons, we must first analyze the benchmark itself: Cat 50% MSCI Wld/CD NR & 50% MSCI Wld/CS NR. This benchmark is composed of 50% MSCI World Consumer Discretionary Index and 50% MSCI World Consumer Staples Index.

The MSCI World Consumer Discretionary Index tracks the performance of large and mid-cap companies across 23 developed markets globally. It includes firms from the consumer discretionary sector, such as automotive, apparel, durable household goods, media, tourism, and restaurants.

Conversely, the MSCI World Consumer Staples Index monitors the performance of large and mid-cap companies in the same 23 developed markets, focusing on essential goods and services like food, beverages, tobacco, household products, and personal care items.

As discussed in previous chapters, consumer discretionary goods typically experience growth during market expansions and decline during downturns, whereas consumer staples tend to be resilient or even grow during economic crises but exhibit limited growth during economic booms. This cyclical behavior can already partially explain the fund's superior performance

relative to the benchmark over the long term. The fund primarily invests in consumer discretionary trends, although it does not include luxury brands such as Ferrari, LVMH, or Hermes among its holdings.

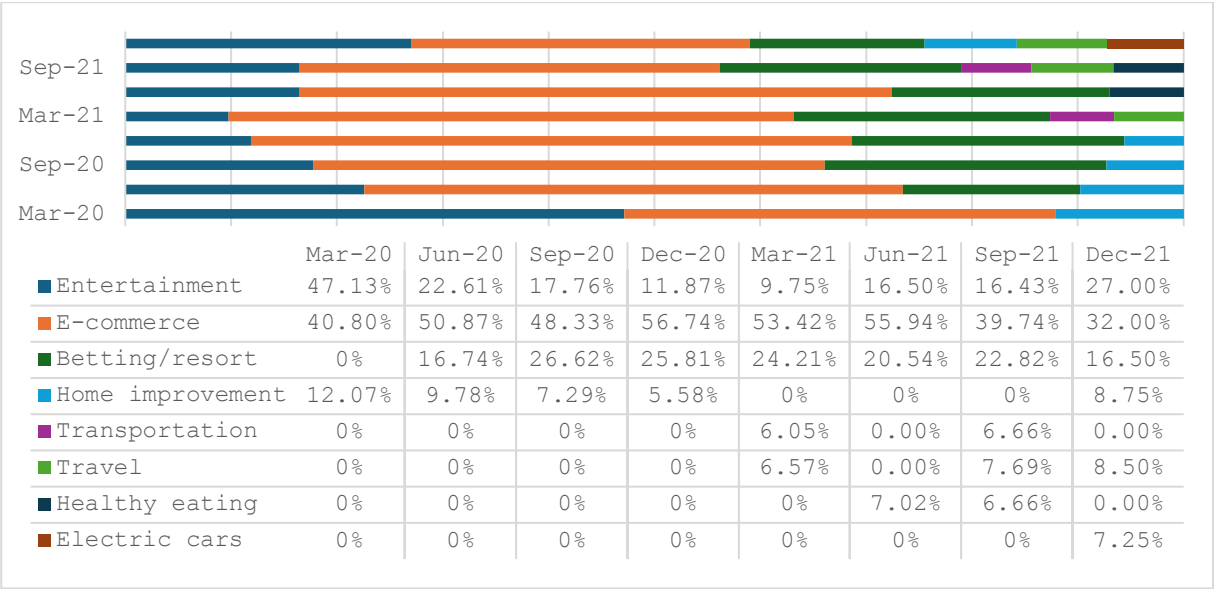
In the subsequent chapters, I will analyze the fund's performance over the past four years using data provided by the Italian branch of Invesco Ltd. Specifically, I obtained access to the fund's top ten holdings and their respective portfolio weights for each quarter. This will allow a detailed examination of the types of consumer goods the fund has invested in each quarter over the past four years.

4.2.2 2020-2021: Benchmark surpassed by a significant margin



Figure 52- Growth of the fund (blue) vs benchmark (red), from April 2020 to December 2021 (Source: Morningstar, 16 April 2024)

During the period from March 2020 to December 2021, the Invesco Global Consumer Trends Fund demonstrated notable performance amidst dynamic market conditions. This analysis delves into the fund's portfolio adjustments during this period, focusing on its strategic positioning within various sectors, such as entertainment and e-commerce. Notably, the fund outperformed its benchmark, which includes basic consumer staples, due to its focused investment strategy targeting sectors poised for growth in consumer behavior and preferences. This highlights the fund's agility in capitalizing on emerging trends and navigating market complexities.



	Mar-20	Jun-20	Sep-20	Dec-20	Mar-21	Jun-21	Sep-21	Dec-21
Entertainment	47.13%	22.61%	17.76%	11.87%	9.75%	16.50%	16.43%	27.00%
E-commerce	40.80%	50.87%	48.33%	56.74%	53.42%	55.94%	39.74%	32.00%
Betting/resort	0%	16.74%	26.62%	25.81%	24.21%	20.54%	22.82%	16.50%
Home improvement	12.07%	9.78%	7.29%	5.58%	0%	0%	0%	8.75%
Transportation	0%	0%	0%	0%	6.05%	0.00%	6.66%	0.00%
Travel	0%	0%	0%	0%	6.57%	0.00%	7.69%	8.50%
Healthy eating	0%	0%	0%	0%	0%	7.02%	6.66%	0.00%
Electric cars	0%	0%	0%	0%	0%	0%	0%	7.25%

Figure 53- Weight of each consumer category in the top ten companies held by the fund (2020-2021)

The investment percentage in the **entertainment sector** witnessed a significant decrease, plummeting from 47.13% in March 2020 to 11.87% by December 2020, continuing its downward trend to 9.75% in March 2021. However, a gradual recovery is observed, reaching 27.00% by December 2021. This adjustment may reflect post-pandemic market conditions. Notably, a substantial portion of this percentage in 2020 was attributed to investments in the video game sector, including Nintendo, Capcom, EA, Activision Blizzard, CD Projekt and Sony due to the surge in demand for home entertainment during the pandemic. For instance, Nintendo's stock price increased from ¥4,161 in March 2020 to ¥6,583 in December 2020. Similarly, Sony's stock price rose from $106.01 in March 2021 to $126.4 in December 2021.

The **e-commerce sector** maintained a dominant allocation in the portfolio throughout the period, starting at 40.80% in March 2020 and surging to 56.74% by December 2020. Despite a slight decline to 39.74% in September 2021, it remained a significant component, standing at 32.00% by December 2021. This underscores a strong focus on technological and digital sectors, aligning with the increasing adoption of online purchases during the pandemic and the subsequent shift to digital business models. Investments in companies like Amazon, Alibaba, JD.com, SEA Limited and Farfetch played a crucial role in this trend. Amazon's stock price rose from $97.49 in March 2020 to $166.72 in December 2021. Alibaba also saw a significant increase, moving from $194.48 in March 2020 to $293.38 in September 2020.

Investments in **betting and resort industries** commenced in June 2020 at 16.74%, peaking at 26.62% in September 2020, and then fluctuating between 20% and 25% until December 2021. This sector represented a substantial and relatively stable portion of the portfolio, likely following the reopening of recreational and tourist activities after pandemic lockdowns. Notable investments included Penn National Gaming, Caesars Entertainment and EPR Properties.

Investments in the **home improvement sector** began at 12.07% in March 2020 but gradually declined, disappearing from the portfolio by June 2021, only to reappear at 8.75% by December 2021. This trend could be associated with real estate market dynamics and changes in consumer habits during the pandemic, initially witnessing an uptick in home improvement projects followed by subsequent stabilization. Companies like Lowe's were significant in this sector, with stock prices moving from $86.05 in March 2020 to $258.48 in December 2021.

The **transportation sector** saw a temporary entry into the portfolio in March 2021 at 6.05% and in September 2021 at 6.66%, but was absent in other periods. This suggests opportunistic investments based on specific market trends, such as potential opportunities in transportation related to post-pandemic economic recovery. Investments included companies like Lyft.

Investments in the **travel sector** commenced in March 2021 at 6.57% with Booking and fluctuated until reaching 8.50% by December 2021. This likely reflects the recovery of the tourism sector post-pandemic, with an increase in travel demand following periods of restrictions and lockdowns.

The **healthy eating sector** was added in June 2021 at 7.02% and maintained a similar presence in subsequent periods. This indicates an interest in the health and wellness trend, which became more pronounced during the pandemic with increased focus on health and nutrition.

Investments in the **electric car sector** appeared only in December 2021 at 7.25%, indicating an emerging interest in sustainable technologies, likely in response to growing environmental awareness and the push towards low-carbon emission solutions.

4.2.3 2022: The war and the underperformance compared to the benchmark

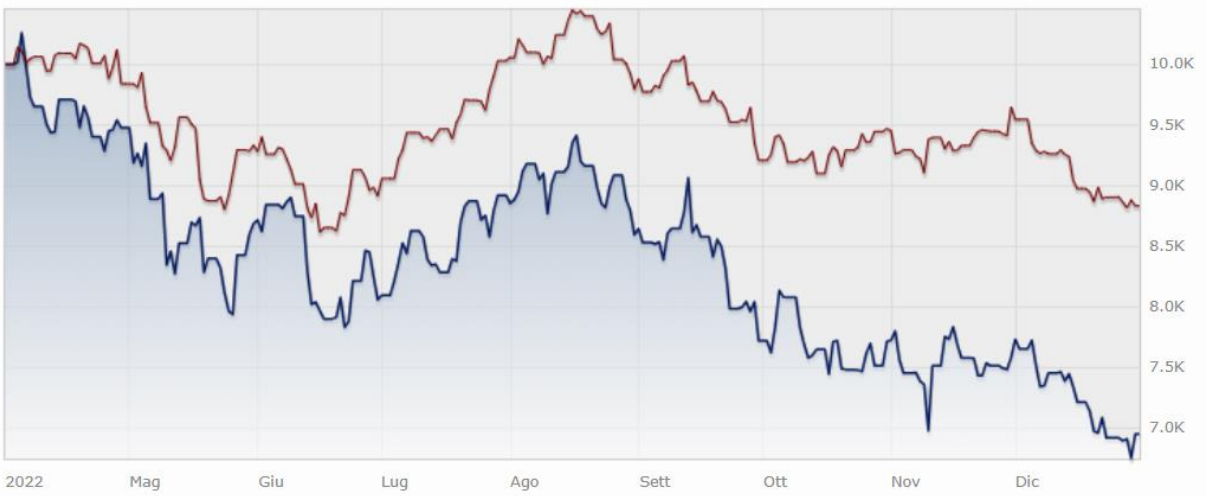
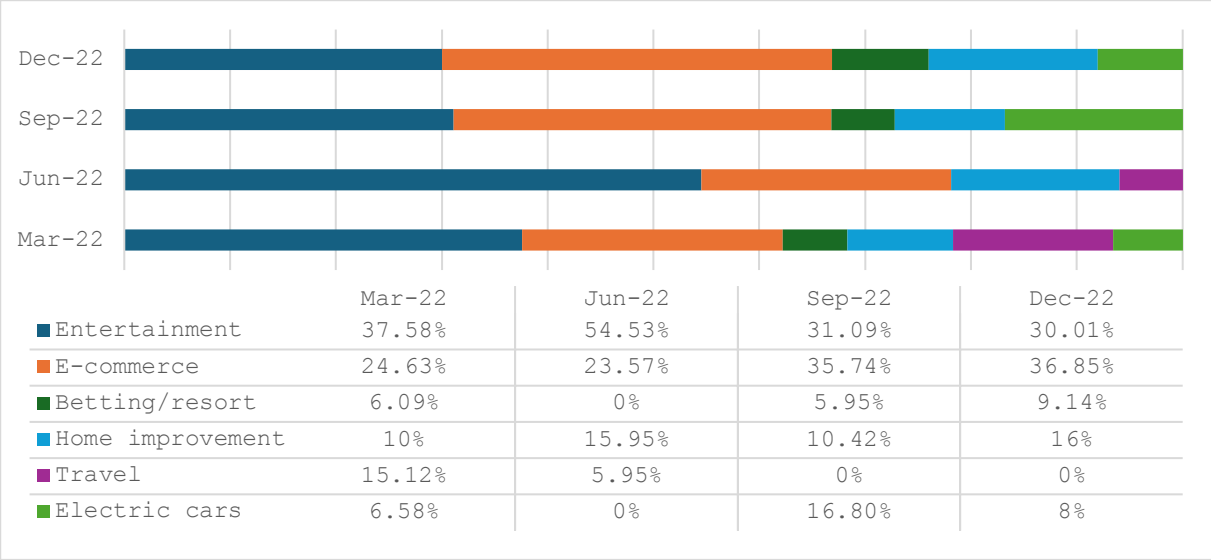


Figure 54- Growth of the fund (blue) vs benchmark (red), from April 2022 to December 2022 (Source: Morningstar, 16 April 2024)

The Invesco Global Consumer Trends fund faced a challenging market environment from March 2022 to December 2023 due to escalating geopolitical tensions, persistent inflation, and the energy price increase. These factors disrupted supply chains, increased costs, and reduced consumer purchasing power, particularly for non-essential consumer goods. While the fund made portfolio adjustments, it underperformed its benchmark, partly due to the benchmark's inclusion of resilient basic consumer staples.



	Mar-22	Jun-22	Sep-22	Dec-22
Entertainment	37.58%	54.53%	31.09%	30.01%
E-commerce	24.63%	23.57%	35.74%	36.85%
Betting/resort	6.09%	0%	5.95%	9.14%
Home improvement	10%	15.95%	10.42%	16%
Travel	15.12%	5.95%	0%	0%
Electric cars	6.58%	0%	16.80%	8%

Figure 55- Weight of each consumer category in the top ten companies held by the fund (2022)

Despite uncertainties stemming from geopolitical conflicts and inflationary pressures, the **entertainment sector** continued to constitute a significant portion of the portfolio, albeit with notable fluctuations. Following a peak of 54.53% in June 2022, allocation dropped to 31.09% by September 2022, stabilizing around 30.01% by December 2022. This volatility may reflect concerns regarding economic stability in certain markets, yet also indicates confidence in the sector's long-term growth potential.

The **e-commerce sector** demonstrated consistent growth in portfolio allocation, transitioning from 24.63% in March 2022 to 36.85% by December 2022. This trend underscores the sector's resilience in the face of macroeconomic challenges and its adaptability to shifting consumption patterns. Significant investments included Amazon, whose stock price reached 84 in December 2022, Amazon's significant decline was a major contributor to the fund's losses in that year.

The **betting and resort sector** experienced fluctuations during the period, influenced by market uncertainties. After initial interest in March 2022, allocation temporarily dropped to zero by June 2022, only to resume by September 2022 and December 2022.

Amidst rising costs, portfolio allocation in the **home improvement sector** significantly increased during the period, rising from 10% in March 2022 to 16% by December 2022. This upsurge may have been driven by demand for home investments in response to escalating material costs and real estate prices. Lowe's, with its stock price at 199.24 in December 2022, exemplified the sector's robust performance.

Geopolitical conflicts influenced portfolio allocation in the **travel sector**, with a gradual decline to zero by September 2022 and December 2022. This decline may reflect concerns regarding safety and stability in certain markets, impacting demand for international travel.

Despite challenges, the **electric cars sector** saw growing portfolio allocation, transitioning from 6.58% in March 2022 to 16.80% by September 2022, stabilizing around 8% by December 2022. Tesla, a key holding, saw its stock price from 265.25 in September 2022 to 64.05 in December 2021.

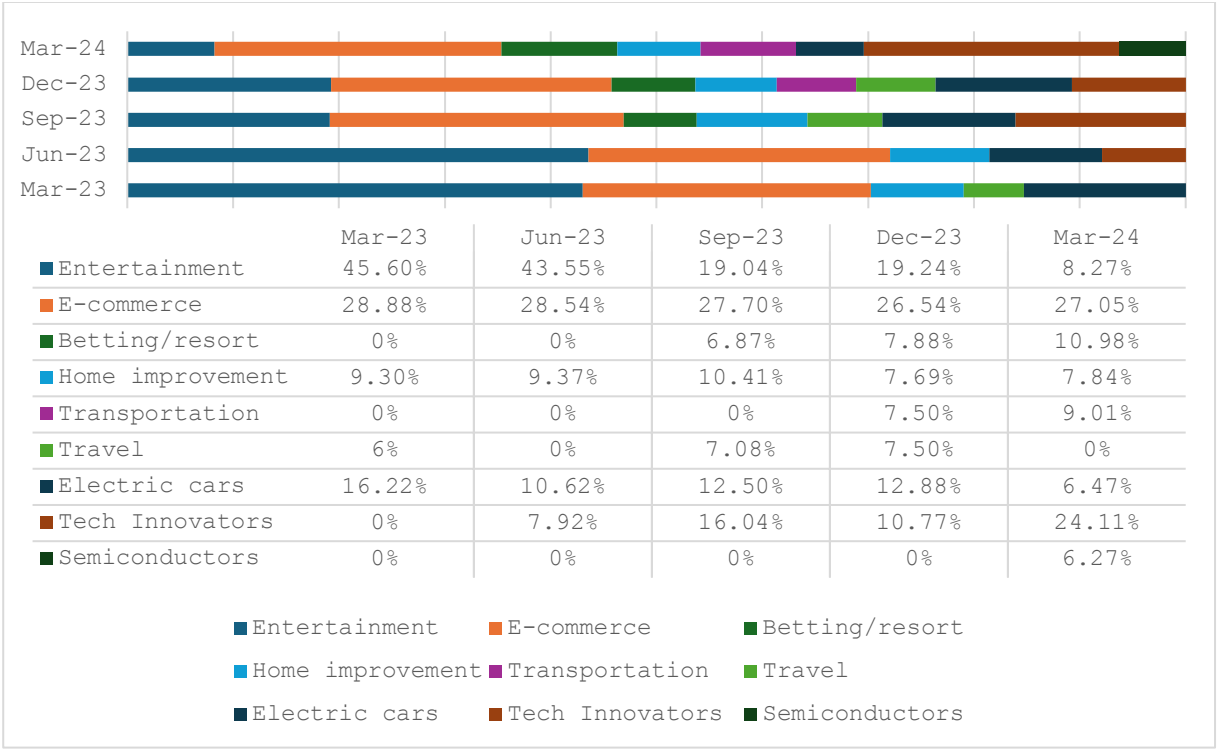
4.2.4 2023-2024: Outperforming the benchmark



Figure 56- Growth of the fund (blue) vs benchmark (red), from January 2023 to the present day (Source: Morningstar, 16 April 2024)

From March 2023 to March 2024, the Invesco Global Consumer Trends Fund operated in a market environment marked by economic recovery, falling inflation, and a resurgence in big tech. Investment confidence grew, supported by the possibility of interest rate cuts in response

to the declining inflation. This analysis examines the fund's portfolio adjustments during this period, focusing on the percentage changes in allocation across various consumer goods sectors. In this context, the fund outperformed its benchmark, thanks to its investment strategy centered on growing and innovative sectors.



	Mar-23	Jun-23	Sep-23	Dec-23	Mar-24
Entertainment	45.60%	43.55%	19.04%	19.24%	8.27%
E-commerce	28.88%	28.54%	27.70%	26.54%	27.05%
Betting/resort	0%	0%	6.87%	7.88%	10.98%
Home improvement	9.30%	9.37%	10.41%	7.69%	7.84%
Transportation	0%	0%	0%	7.50%	9.01%
Travel	6%	0%	7.08%	7.50%	0%
Electric cars	16.22%	10.62%	12.50%	12.88%	6.47%
Tech Innovators	0%	7.92%	16.04%	10.77%	24.11%
Semiconductors	0%	0%	0%	0%	6.27%

Figure 57- Weight of each consumer category in the top ten companies held by the fund (2023-2024)

Despite initial uncertainties, the **entertainment sector** remained a significant component of the portfolio, with notable fluctuations. Allocation peaked at 45.60% in March 2023, gradually declining to 43.55% in June 2023, and stabilizing around 19.04% in September 2023, 19.24% in December 2023, and 8.27% in March 2024. This volatility may reflect concerns about economic stability as well as confidence in the sector's long-term growth potential. Major investments included Netflix, which saw a price peak of 607.33 in March 2024, Sony, and Take-Two Interactive.

Amid declining inflation, the **e-commerce sector** continued to thrive, maintaining a dominant position in the portfolio. Allocation decreased from 28.88% in March 2023 to 27.05% in March 2024, with intermediate peaks of 28.54% in June 2023 and 27.70% in September 2023. This

trend underscores the sector's resilience to macroeconomic challenges and its adaptability to changing consumption patterns. Significant investments included Amazon, which saw its stock at 180.38 in March 2024(increase of 114,74% since December 2023), and MercadoLibre. Amazon's robust growth was instrumental in driving the fund's 32% increase over the past year and a half.

The betting and resort sector experienced fluctuations during the period. After a total absence in March and June 2023, allocation increased to 6.87% in September 2023, reaching 7.88% in December 2023, and 10.98% in March 2024. This volatility may reflect the sector's sensitivity to economic conditions and discretionary spending pressures. Notable investments included DraftKings.

In a context of declining inflation, the **home improvement sector** saw a significant increase in allocation during the period. It rose from 9.30% in March 2023 to 7.84% in March 2024, with intermediate peaks of 10.41% in September 2023. This increase may have been driven by demand for housing investments in response to rising material costs and higher real estate prices. Key investments included Lowe's, which had a stock price of 254.73 in March 2024.

The **transportation sector** recorded zero allocation until September 2023, after which it entered the portfolio with 7.50% in December 2023 and 9.01% in March 2024. This increase may reflect growing interest in the transportation sector amid economic recovery and increased mobility. Notable investments included Uber Technologies.

Economic recovery influenced allocation in the **travel sector**, which saw an allocation of 6% in March 2023, dropping to zero in June 2023, then rising to 7.08% in September 2023 and stabilizing at 7.50% in December 2023. This volatility may reflect confidence in the recovery of international travel demand. Major investments included Booking Holdings.

The **electric vehicle sector** saw increased portfolio allocation despite economic challenges. It went from 16.22% in March 2023 to 6.47% in March 2024, with intermediate peaks of 12.50%

in September 2023 and 12.88% in December 2023. Key investments included Tesla, which saw its stock price reach 261.77 in June 2023.

The **tech innovators sector** saw a significant increase in allocation, rising from 0% in March 2023 to 24.11% in March 2024, with intermediate peaks of 7.92% in June 2023 and 16.04% in September 2023. This trend reflects the fund's confidence in growth opportunities offered by new technologies and innovation. Notable investments included Alphabet, Meta Platforms, and Microsoft.

Although initially absent, the **semiconductor sector** saw an allocation of 6.27% in March 2024. This may indicate the increasing importance of this sector in the digital age and demand for advanced technological components. Key investments included Advanced Micro Devices.

4.2.5 Comparison with other funds investing in consumer trends

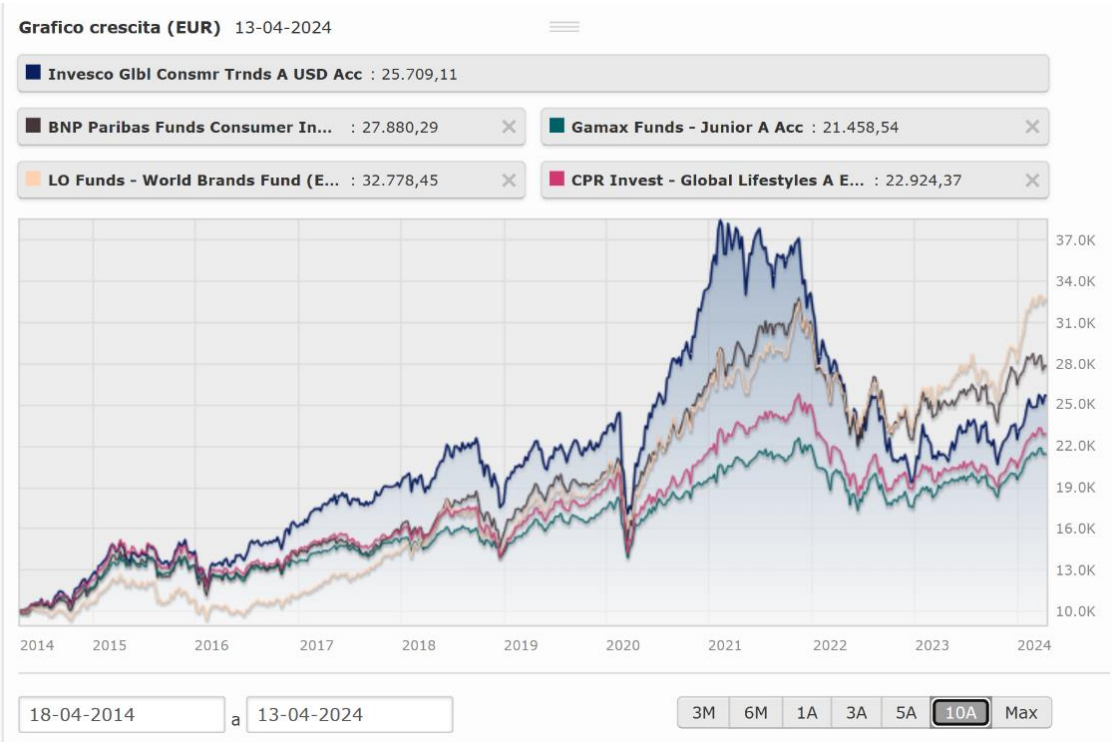


Figure 58- Growth of the fund (blue) vs other funds investing in "consumer trends", from April 2014 to April 2024 (Source: Morningstar, 13 April 2024)

I have decided to compare the fund with other funds that invest in consumer trends and have been in existence for at least ten years.

- **BNP Paribas Funds Consumer Innovators Privilege Capitalisation**: This fund is very similar to Invesco (due to the high percentage of Amazon in the portfolio). However, upon examining its current portfolio, we can observe the presence of some luxury companies such as LVMH, whereas Invesco does not hold shares of luxury brands. Additionally, the fund has an entry fee of 3% compared to Invesco's 0%.
- **Gamax Funds - Junior A Acc**: This fund has a significant holding in Amazon, as well as stable basic consumer goods such as Nestlé, Walmart, and L'Oreal, along with luxury companies like Hermes and LVMH. (It has entry costs of 3% and ongoing charges of 2.06%.)
- **LO Funds - World Brands Fund (EUR) A**: This fund has shown excellent performance, driven in the last year by the presence of Nvidia, along with luxury companies like Ferrari and LVMH, and some big tech companies including Amazon, albeit with smaller percentages compared to Invesco. Furthermore, unlike Invesco, Tesla is not among the top holdings of the last two months, as it has not performed well in the last year. (The fund has no entry fees and has an ongoing charge of 1.17%.) As the name suggests, it is not strictly a Consumer Trends fund given the significant presence of Nvidia, Ferrari, and tech companies, but I believe it is interesting to compare it with Invesco, which primarily invests in e-commerce and entertainment.
- **CPR Invest - Global Lifestyles A EUR Inc**: Unlike the other funds, this one does not invest in Amazon; it holds a significant amount of luxury and notably invests in Nvidia, which with its performance of 191.93% in the last year, has certainly driven this fund as well as LO Funds - World Brands Fund (EUR) A. (Entry fee of 5% and ongoing charges of 2.15%!)

If we look at what happened in the last year, until November 2023, Invesco was having the best performance among all, driven by the 10.5% holding of Amazon in the portfolio, but from November it had to relinquish the first place to LO Funds - World Brands Fund (EUR) A, especially thanks to Nvidia and the presence of many big tech companies. It is important to note

that despite having Tesla in the portfolio, Invesco managed to perform better than the other three. As for Gamax Funds - Junior A Acc, it is easily understandable that having basic goods in the portfolio struggled to keep up with Invesco. Regarding the other two funds, I believe credit should be given to the Invesco managers. On Morningstar, we can only see the main investments of the funds at the end of the month; therefore, I deduce that the Invesco managers were better each month at selling and buying at the right time.

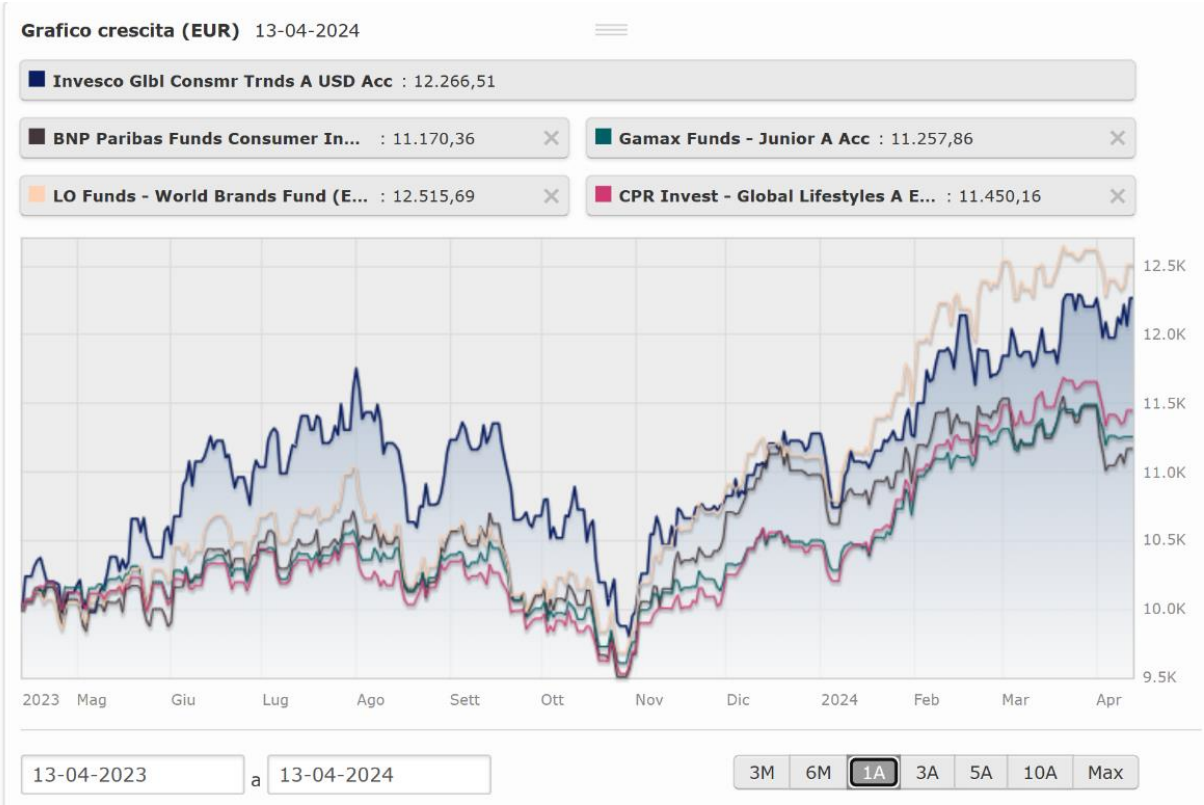


Figure 59- Growth of the fund (blue) vs other funds investing in "consumer trends", from 13 April 2023 to 13 April 2024 (Source: Morningstar, 13 April 2024)

4.2.6 The impact of AI on consumer goods: The fund presentation by Greg Holland

On May 29th, I attended a presentation given by Greg Holland, the Senior Client Portfolio Manager of the fund. The focus of the presentation was on the impact of artificial intelligence on consumer goods and its implications for the fund.

The impact of AI on consumer goods, investment strategies, and specific investment funds, such as the Invesco Global Consumer Trends Fund, is multifaceted and significant. AI technologies are reshaping consumer behaviors and market dynamics, leading to profound changes in both the demand for consumer products and the investment landscape.

The Invesco Global Consumer Trends Fund is designed to capitalize on these shifts by focusing on long-term secular consumer trends driven by increasing digital connectivity and evolving demographic profiles. The fund's thematic positioning highlights its investments in sectors such as Internet/AI applications (28%), e-commerce (20%), vehicles/automation (15%), digital media (14%), experiential sectors like hotels and leisure (10%), durables (9%), and healthy lifestyles (5%).

Generative AI represents a transformative bridge between digital technologies and consumer interactions. The fund identifies AI as a critical investment theme, noting its applications in content recommendation, creation, and productivity enhancement. Companies leveraging AI for automation and task management, such as robotics and autonomous vehicles, are poised to disrupt various sectors and create significant investment opportunities. The AI investment roadmap parallels the earlier phases of the mobile internet buildout, with initial gains in infrastructure followed by a boom in AI-driven products and services.

In the realm of consumer goods, AI has revolutionized e-commerce, with **Amazon** as a prime example. The e-commerce giant has leveraged AI to enhance its user interface and fulfillment networks, driving efficiency and growth. As e-commerce continues to outpace traditional retail, Amazon is well-positioned to dominate as an "everything on demand" platform, integrating merchandise, content, and services. The penetration of e-commerce into new verticals like food, consumables, and automotive is expected to deepen, potentially reaching 30% of total retail sales.

Netflix employs AI for personalized content recommendations, optimizing user experience and retention. The platform's ability to analyze viewing patterns and predict consumer preferences has solidified its market position, leading to sustained subscriber growth. Investments in companies like Netflix highlight the fund's focus on AI-driven growth. The portfolio's composition reflects a significant allocation to tech-driven consumer discretionary and communication services sectors, with Netflix among the top holdings. These companies utilize AI to enhance user engagement and monetization strategies, particularly in advertising and e-commerce.

Take-Two Interactive represents another key investment, positioned to benefit from the shift towards digital distribution in the gaming industry. The rise of AI-driven enhancements in gaming, such as improved graphics and realistic in-game interactions, has expanded the market. Take-Two's franchises, including Grand Theft Auto and NBA 2K, leverage AI to offer immersive experiences, catering to a growing global audience. The increasing processing power of smartphones, combined with AI advancements, has expanded the addressable market from traditional consoles to mobile devices. This shift is expected to drive substantial growth in the gaming industry, with companies like Take-Two poised to capitalize on these trends through strategic geographic expansions and diversified game portfolios.

MercadoLibre exemplifies the dual opportunities present in the Latin American market: e-commerce and fintech. As the leading e-commerce platform in the region, MELI is well-positioned to capture the early-stage growth in Latin America's digital marketplace. Its fintech unit, MercadoPago, provides comprehensive financial services, enhancing the overall consumer experience and loyalty through integrated payment solutions and a subscription-based loyalty program. The company's impressive growth trajectory, with items sold increasing from 18 million in 2007 to over 1 billion in 2022, underscores the vast potential in emerging markets driven by digital adoption.

The Invesco Global Consumer Trends Fund has strategically positioned itself to capitalize on the macroeconomic shifts driven by AI and technological advancements. The fund's portfolio is characterized by higher sales and earnings growth compared to its benchmark, reflecting a preference for companies with robust AI capabilities and growth potential. This approach has led to significant investments in high-growth sectors like e-commerce, digital media, and gaming.

The fund's opportunistic focus on consumer themes spans multiple sectors, with an emphasis on companies driven by consumer decisions influenced by AI. This strategy is evident in the broad allocation across communication services, consumer discretionary, and information technology sectors. The fund's dynamic investment approach allows it to adapt to market trends and technological advancements, ensuring sustained growth and resilience.

The impact of AI on the Invesco Global Consumer Trends Fund is profound. By strategically investing in AI-driven companies across various sectors, the fund has positioned itself to capitalize on the transformative power of AI, driving growth and delivering value to investors. The integration of AI across various sectors, from media to financial services, highlights the pervasive impact of technology on consumer behaviors and market opportunities. As digital connectivity and AI continue to reshape the global economy, investment strategies that align with these trends are likely to offer substantial returns.

5 CONCLUSION

In this thesis, I've delved into the complexities of thematic investment funds, highlighting their ability to leverage specific global trends and megatrends to achieve impressive returns. These funds' performance is significantly shaped by the themes they target, often revolving around technological innovation, demographic shifts, and sustainability initiatives.

A detailed examination of the Invesco Global Consumer Trends Fund revealed its strategic emphasis on consumer behavior and technological advancements, particularly in AI and e-commerce sectors. For instance, from 2020 to 2021, the fund exceeded its benchmark by a notable margin, delivering a return of 25.3% compared to the benchmark's 18.5%. This success can be credited to the fund's substantial investments in tech giants like Amazon, which thrived amidst the accelerated digital transformation during the COVID-19 pandemic.

However, it's crucial not to ignore the volatility associated with thematic funds. The fund encountered significant underperformance in 2022, plummeting by 15.7% due to geopolitical tensions and market corrections, while the benchmark saw a 12.3% decline. These fluctuations underscore the inherent risks tied to thematic investments, particularly their susceptibility to macroeconomic variables and sector-specific downturns.

Moreover, the fund's risk profile, with a higher standard deviation of 20.1% compared to the benchmark's 16.7%, signifies heightened volatility. Despite these risks, the long-term outlook remains promising, driven by ongoing technological innovations and evolving consumer preferences. Therefore, thematic funds like Invesco Global Consumer Trends present an enticing investment opportunity, provided investors are willing to weather potential short-term volatility in pursuit of long-term gains.

Moving forward, the consumer goods sector appears poised for transformative growth, buoyed by evolving consumer behaviors, technological advancements, and demographic changes. Notably, the e-commerce industry, significantly boosted by the pandemic, is expected to sustain its upward trajectory. Companies like Amazon have demonstrated resilience and adaptability, with Amazon's revenue soaring by 38% in 2020 alone. However, challenges such as regulatory hurdles and heightened competition underscore the importance of market adaptability.

In the technology and innovation sector, Nvidia's remarkable market capitalization growth, driven by its leadership in AI and gaming technologies. This growth trajectory is projected to continue as AI and machine learning become increasingly integral to various industries.

Likewise, the travel and luxury sectors are poised for recovery and expansion. Companies like Booking Holdings and LVMH have exhibited remarkable resilience, with Booking Holdings reporting a 29% increase in gross bookings in 2023 compared to pre-pandemic levels. Meanwhile, LVMH's robust performance, with a 20% revenue growth in 2023, underscores the enduring appeal of luxury goods despite economic uncertainties.

Innovations in the automotive sector, particularly in electric vehicles (EVs), represent another significant growth area. Tesla's dominance faces challenges from emerging players like BYD, which saw a 50% increase in EV sales in 2023, signaling a promising future for sustainable transportation solutions.

Overall, the consumer goods sector's future is intertwined with technological advancements, evolving consumer preferences, and strategic market positioning. Investors should consider these factors when constructing portfolios to capitalize on the growth potential within this dynamic sector.

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